

ANNUAL REPORT 2016



FINANCIAL HIGHLIGHTS

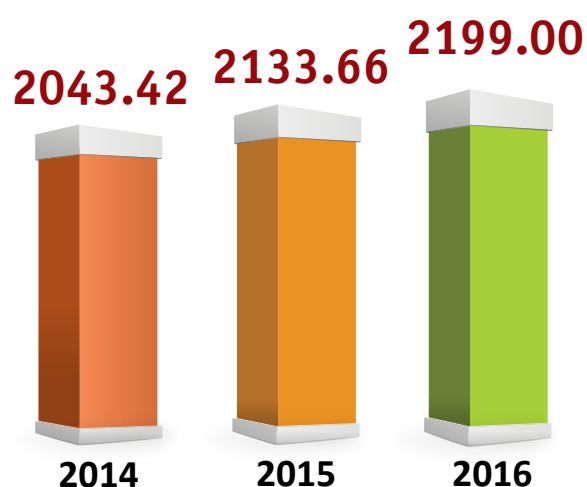
Amount in BDT Crore

Particulars	2016	2015	% Change
Total Operating Income	154.73	184.25	-19.08
Profit After Tax	77.34	100.24	-29.61%
Total Asset	2443.02	2499.63	-2.32%
Shareholders' Equity	2199.00	2133.66	2.97%

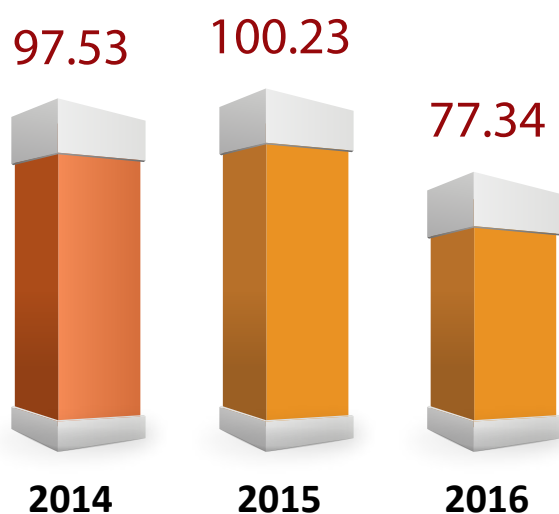
Return on Asset	3.17%	4.01%	-26.67%
Return on Equity	3.52%	4.70%	-33.58%

Net Asset Value Per Share	109.40	109.98	-0.53%
Earnings Per Share	3.85	4.99	-29.61%

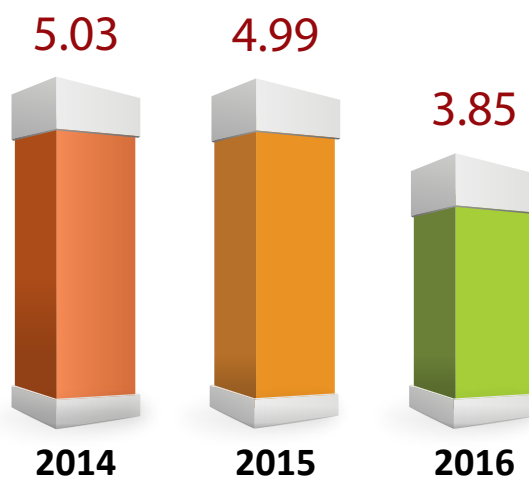
Shareholders' Equity



Profit After Tax



Earning Per Share (BDT)



BIFFL



AREA OF INVESTMENT

Large Infrastructure

1. Power & Energy
2. Transportation & Connectivity
3. Port, Container Depot & Terminal
4. Economic Zone & Industrial Park
5. IT & Telecom
6. Tourism & Hospitality
7. Healthcare & Education

Sustainable Finance

1. Utility-Scale Solar Power
2. Auto Bricks
3. Green Building
4. Energy Efficient Technologies
5. Waste Treatment & Recycling

Products of BIFFL

Loan

- Term Loan
- Working Capital Loan
- Bridge Financing
- Factoring
- Take-over Financing
- Take-out Financing
- Lease Financing
- Bond Financing
- Commercial Paper/Instrument

Equity

- Ordinary Shares
- Preference Shares
- Mezzanine financing
- Convertible debt

Our Strength:

- Tailor made loan terms
- Multiple currency loan
- Soft loan for sustainable development

উদ্যোগ আপনার
অর্থায়নে

শৈলী

বিআইএফএফএল এর শৈলী
নারী উদ্যোক্তাদের জন্য নিয়ে
এলো সহজস্বপ্নে
থাগ ও অন্যান্য সুবিধা।



Women Entrepreneurs' Unit

- Refinancing Scheme of Bangladesh Bank
- Other Special Schemes
- Low Interest Rate for Women Entrepreneurs working for eligible sectors



Bangladesh Infrastructure Finance Fund Limited (BIFFL)

(A Financial Institution owned by the Ministry of Finance, GoB)

STRATEGIC FOCUS

MISSION

- ▶ To perform as a professional Financial Institution by adapting internationally accepted best practices and maintaining highest level of moral and ethical standards.
- ▶ To promote country's economic development by facilitating and encouraging Private Sector Investment in infrastructure projects.
- ▶ To supplement Government's efforts of achieving Vision 2021 and SDG 2030 through investing in infrastructure as well as sustainable development projects.



VISION

- ▶ Acceleration of economic growth by leveraging the relative strengths of the Public and Private Sector in financing infrastructure and sustainable development projects.



GOAL

- ▶ To provide long-term finance to critically important infrastructure and sustainable development projects.
- ▶ To catalyze co-financing from private financial sources.
- ▶ To develop and use innovative financing instruments that cater to the varying needs of infrastructure sector.
- ▶ To provide a unique vehicle for capital market development by exploring a number of avenues to capture domestic and foreign investment within the contexts of a robustly designed and well-governed investment vehicle.



OBJECTIVES

- ▶ To promote, encourage and finance Private Sector investment in infrastructure sectors.
- ▶ To extend financing facilities for infrastructure projects in the form of debt and equity.
- ▶ To attract private investment in long-term infrastructure projects by overcoming the asset liability mismatch of existing bank finance.
- ▶ To create funds, sub-funds, including Islamic Funds, and any other type of funds as deemed appropriate by the company to support infrastructure development.



STRATEGIC PRIORITIES

- ▶ To finance, monitor and implement infrastructure and sustainable development projects.
- ▶ To focus on recruitment and retention of skilled, honest, creative and talented work force.
- ▶ To ensure transparency, accountability, fairness in operation and zero tolerance in corruption and sexual harassment.
- ▶ To maximize shareholders' equity by maintaining asset quality with balanced and sustainable growth.
- ▶ To enhance brand image through excellent customer service, CSR activities and finance in Green & Energy Efficient projects.
- ▶ To increase in paid-up capital and paying dividend to the shareholders.



MILESTONES

(As of March 2017)

Date	Achievements
28 March 2017	Signing of MOU with CRAB and CRISL-two top Credit Rating Agencies in Bangladesh for independent Credit Rating of BIFFL
14 January 2017	Approval of Term Loan of BDT. 100.00 crore in favor of Bangladesh Economic Zone Authority for the largest Economic Zone in Bangladesh- Mirershorai Economic Zone
14 January 2017	Approval of BIFFL Strategic Investment Plan. The plan is meant to achieve the investment goal of BIFFL for next 05 years from 2017 to 2021
12 January 2017	Arranging Fund for Odyssey Craft Ltd.- a green RMG factory by BIFFL as "Lead Arranger"
11 December 2016	▶ Inauguration of 05 Green Brick Projects by the Honorable Finance Minister on the occasion of BIFFL Green Brick Convention-2016 ▶ Giving Dividend Cheque of BDT 82.00 crore to the Hon'ble Finance Minister for FY-2015 ▶ Successfully arranging of first ever Green Brick Convention in Bangladesh by BIFFL
03 November 2016	MOU signed by BIFFL with PPP Authority for BIFFL to be selected as an enlisted company for financing in PPP projects
18 October 2016	Achieving milestone of disbursement of first BDT 10.00 billion in infrastructure projects in Bangladesh
07 September 2016	Raising paid up capital of the company from BDT 1940 Crore to BDT 2010 crore
15 June 2016	Recruitment of following officials for enhancement of the capacity of organization ▶ 11 MTO & Officers ▶ AVP (Investment) & ▶ Chief Financial Officer
18 April 2016	For the 1st time investment in Equity Finance through Preference Share of BDT 45.00 crore to Summit Group in Power projects

10 April 2016	Dividend cheque of BDT 350.00 crore (accumulated over FY 2011 to 2014) handed over to the Hon'ble Finance Minister
21 March 2016	Formation of Women Entrepreneur Development Unit (WEDU)
08 February 2016	First time Disbursement of BDT 40.00 crore in the form of Commercial Paper to Max Infrastructure Ltd.
31 January 2016	Signing Ceremony / Financial Closing of Makrail Auto Green Bricks Ltd. (financing in green & auto bricks project)
10 December 2015	First Disbursement was made to a Connectivity Project (First Dhaka Elevated Expressway). This was also the first disbursement in the PPP project
19 October 2015	First disbursement was made to an Economic Zone (Sreehatta Economic Zone)
01 June 2015	Mr. S.M. Formanul Islam joined as the second full-time Executive Director & CEO of BIFFL
02 March 2015	First disbursement was made to a Brick Project (ARB Enterprise)
06 August 2014	First disbursement was made to a Power Project (Sinha People's Energy Limited)
03 June 2014	BIFFL signed participation agreement with Bangladesh Bank to participate in Financing Brick Kiln Efficiency Improvement Project
10 October 2013	BIFFL signed participation agreement with Bangladesh Bank to participate in the Refinance Scheme for Renewable Energy & Environment Friendly Financeable Sector
25 June 2012	The Ministry of Finance nominated the dignitaries for the formation of an 11-member Advisory Board of BIFFL
01 February 2012	Mr. Md. Atiquzzaman joined as the first full-time Executive Director & CEO of BIFFL
16 October 2011	Obtained license from Bangladesh Bank
20 April 2011	The first meeting of Board of the Directors held at the Finance Division, Ministry of Finance, Bangladesh Secretariat
12 April 2011	The Ministry of Finance approved formation of the 8- member Board of Directors for BIFFL
11 March 2011	Incorporation of the company with the largest paid-up capital in the business history of the country (BDT 16.00 billion/USD 200 million)
29 July 2010	Cabinet meeting of the Govt. approved formation of BIFFL, its Memorandum of Association and Articles of Association

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Vote of Thanks



CORE VALUES

1. Professional excellence



- ▶ We provide quick and accurate services to the customers.
- ▶ We handle each work in a professional manner.

2. Integrity



- ▶ Integrity and ethics are the hallmarks of our business operation.
- ▶ We strictly maintain zero tolerance on corruption.

3. Transparency



- ▶ We focus on the highest level of transparency while providing accurate and timely information about our products, performance, and financial results to meet the expectations of the stakeholders.

4. People



- ▶ We support our colleagues and invest in their development to help them realize their full potential.
- ▶ We recognize and reward outstanding performance.

5. Customer



- ▶ We listen to our customers and understand their needs.
- ▶ We build enduring relationship with our customers by delivering superior products and quality services.

6. Concerted effort



- ▶ We work together to deliver excellent performance, taking responsibility, holding ourselves accountable, and respecting the contribution of others.
- ▶ We communicate effectively & efficiently and give each other the space to do the job.

7. Prudent risk taker



- ▶ We manage investment risk prudently.

8. Effectiveness



- ▶ We actively invest in infrastructure, process improvement in skills to lower our delivery costs.
- ▶ We do the things right at the first time, on time, and every time.

9. Focus on sustainability



- ▶ While considering a project we attach high importance on its social and environmental impact to make the project sustainable in the long run.

10. Building the future



- ▶ We believe in real and sustainable benefit.
- ▶ We support green to protect the environment & the interest of our next generation
- ▶ We keep building a family with our employees, shareholders, customers, and communities.

11. Quality



- ▶ We strive to exceed expectation.
- ▶ We do not compromise with our service standard.

12. Accountable citizen



- ▶ We are tax compliant.
- ▶ We are respectful to the laws of the land as well as the rules of our society.

Ethical values are based on our corporate norms & culture; and it expresses basic ethical code, attitudes, and rules that the employees follow at their work. We maintain solid and clearly defined corporate culture. It is the system of behaving with each other, coordinating, and teamwork in all circumstances.

	Equality	Transparency	Respect	Liberty	Belief
Colleague	▶ No discrimination on the grounds of religion, sex and race. ▶ Practices respect and care towards employees at all time. ▶ No nepotism in recruitment, promotion, training and incentive policies.	▶ Sharing knowledge to enhance company's value. ▶ Ensure transparent in career path.	▶ Listen and pay attention to the employees, respecting their values, feeling and moral stance. ▶ Never use any undue pressure or offend someone.	▶ Create proper environment for freedom of dissent and freedom of as expression. ▶ Offer everybody the chance to practice the value of leadership and develop his/her own professional personality.	▶ Keep our commitment admitting the possibility of mistakes made in good faith.
Customers	▶ Strive for excellent customer service at all times. ▶ Pay appropriate attention to each of our customers.	▶ Ensure timely information on products and services at all times.	▶ Maintain confidentiality on any information acquired in relation to customer the company and its decisions.	▶ Handle interpersonal relation in free and equal terms without being in awe of those who are stronger and without showing arrogance towards those who are weaker.	▶ Build up confidence through behaviors that constantly confirm our reputation and relationship.
Investors	▶ Pay appropriate attention to the investors without discrimination.	▶ Aim to be clear complete and timely. ▶ Use most effective communication channel for investors. ▶ Turn market communication into an economic and culture value.	▶ Behave with investors in line with corporate values and professional ethics.	▶ Achieve freedom of action such that we can keep the promises we make to the market without undue influences.	▶ Develop lasting and continues relationship with the financial community. ▶ Safeguard our consistency and credibility. ▶ Willingly accept and criticism expressed by the market.
Communities	▶ Maintain sustainable relationship with the stakeholders in order to protect our environment.	▶ Keep the community informed of what we do and how we do it.	▶ Promote growth which is environmentally and socially sustainable.	▶ Respect individual moral codes and culture.	▶ Establish social and cultural relations with communities, whose distinctive features should be reciprocal.



CORPORATE INFORMATION

BOARD OF DIRECTORS

Chairman

Mr. Hedayetullah Al Mamoon, ndc

Senior Secretary, Finance Division, Ministry of Finance

Directors

Ms. Suraiya Begum, ndc

Senior Secretary, Prime Minister's Office

Mr. M.A.N. Siddique

Secretary, Road Transport & Highways Division, Ministry of Road Transport and Bridges

Khandker Anwarul Islam

Secretary, Bridges Division, Ministry of Road Transport and Bridges

Mr. Nazimuddin Chowdhury

Secretary, Energy & Mineral Resources Division, Ministry of Power, Energy and Mineral Resources

Dr. Ahmad Kaikaus

Secretary, Power Division, Ministry of Power, Energy and Mineral Resources

A.R.M. Nazmus Sakib

Additional Secretary, Finance Division (TDM & Admin), Ministry of Finance

Mr. S.M. Formanul Islam

Executive Director and CEO, BIFFL

CHIEF EXECUTIVE OFFICER

Mr. S.M. Formanul Islam

COMPANY SECRETARY

Mr. Mohammad M. Khan, ACS

EXECUTIVE COMMITTEE

Chairman

Khandker Anwarul Islam

Members

Dr. Ahmad Kaikaus

Mr. A.R.M. Nazmus Sakib

Mr. S.M. Formanul Islam

Secretary

Mr. Mohammad M. Khan, ACS

AUDIT COMMITTEE

Chairman

Mr. M.A.N. Siddique

Members

Mr. Nazimuddin Chowdhury

Mr. A.R.M. Nazmus Sakib

Secretary

Mr. Mohammad M. Khan, ACS

REGISTERED OFFICE

4, Anjuman Mufidul Islam Road, Kakrail, Dhaka-1000.

PABX: +880-2-8333238-9

FAX: +880-2-9348518

INCORPORATION

Company Registration No-C91370/11

March 21, 2011

LENCED BY BANGLADESH BANK

October 16, 2011

DFIM (L)-32

SHARE CAPITAL

Authorized Capital: BDT 10,000 Crore

Paid-up Capital: BDT 2,010 Crore

Value per Share: BDT 100 Each

SPONSOR

Finance Division, Ministry of Finance

Government of Bangladesh

WEB-SITE

www.biffil.org.bd

AUDITORS

M/s. S.F. Ahmed & Co.

Chartered Accountants

House- 51 (2nd Floor), Road- 09; Block- F, Banani, Dhaka, Bangladesh.

ADVISORY BOARD

Advisory Board, the apex body of BIFFL, provides strategic policies and guidelines as well as monitors the performance with a view to updating and implementing the Company and Government's Goals for infrastructure development of the country. The Advisory Board comprises the following nine (9) members:

Chairman



Mr. Abul Maal A. Muhith, MP

The Honorable Minister
Ministry of Finance

Members:



Mr. Amir Hossain Amu, MP

The Honorable Minister
Ministry of Industries



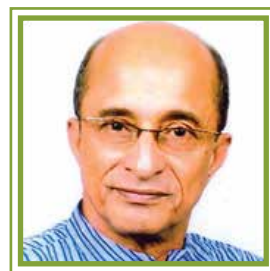
Mr. Obaidul Quader, MP

The Honorable Minister
Ministry of Road Transport &
Bridges



Mr. Shajahan Khan, MP

The Honorable Minister
Ministry of Shipping



Dr. Tawfiq-E-Elahi Chowdhury

Advisor to the Honorable
Prime Minister



Kazi M. Aminul Islam

Executive Chairman
Bangladesh Investment Development
Authority (BIDA)



Mr. Fazle Kabir

Governor
Bangladesh Bank



Dr. Zaidi Sattar

Chairman
Policy Research Institute of
Bangladesh



Dr. Md. Farashuddin

Former Governor
Bangladesh Bank

MESSAGE FROM THE CHAIRMAN, ADVISORY BOARD

Ministry of Finance
Government of the People's
Republic of Bangladesh



Abul Maal A. Muhith
Minister



13 May, 2017

Message

As the Chairman of the Advisory Board of Bangladesh Infrastructure Finance Fund Ltd. (BIFFL), I would like to congratulate all the shareholders, directors, development partners and employees of the Company on this occasion of the 6th Annual General Meeting. I am happy that BIFFL has completed another productive year and is showing signs of continuous progress and maturity.

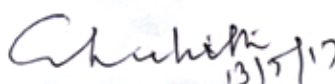
Undeniably, lack of adequate infrastructure is considered a key hurdle for Bangladesh in achieving its Vision 2021. We think we shall achieve Sustainable Development Goals before 2030; and become a developed nation by 2041. In the last decade, Bangladesh has shown a steady GDP growth of 6 to 7%, which has been acclaimed by all. However, to achieve the dream for 2041, the country has to ensure a growth rate over 8% in the coming years. At the same time, investment to GDP ratio also needs to be enhanced substantially. In this regard, BIFFL, being one of the private sector development on wing of the Ministry of Finance, is at the forefront of the battle as it has the potential to play a pivotal role in developing the infrastructure of the country.

Our Government has allocated fund for Public Private Partnership projects and set aside significant amount for implementing various other development projects this year. So far, BIFFL has maintained a robust pipeline of medium and large infrastructure projects. I have confidence in BIFFL management and its employees that they will be able to play an important role in implementing those infrastructure projects through extending finance and technical assistance.

I am delighted to learn that BIFFL has disbursed loans for quite a few mega infrastructure projects. I also commend their efforts in financing renewable energy and energy efficiency projects; and promoting environment friendly as well as sustainable technologies, specially, in the brick sector.

I laud the excellent performance of the Board members and appreciate the Bangladesh Bank and all other regulators for their guidance and continued support. Lastly, my heartiest thanks and best wishes go to all the employees of BIFFL for their hard work, commitment and devotion to the betterment of the company.

Thank you all.


(Abul Maal A. Muhith, MP)

BOARD OF DIRECTORS

The Board of Directors of BIFFL is responsible for overall management of the Company including, but not limited to: (a) making policies, (b) overseeing management activities, (c) approving finance proposals, and (d) sourcing fund for the Company.

Chairman



Mr. Hedayetullah Al Mamoon, ndc

Senior Secretary, Finance Division,
Ministry of Finance

Directors:



Ms. Suraiya Begum, ndc

Senior Secretary,
Prime Minister's Office



Mr. M.A.N. Siddique

Secretary, Road Transport &
Highways Division, Ministry of
Road Transport and Bridges



Khandker Anwarul Islam

Secretary, Bridges Division,
Ministry of Road Transport
and Bridges



Mr. Nazimuddin Chowdhury

Secretary, Energy & Mineral Re-
sources Division, Ministry of Power,
Energy and Mineral Resources



Dr. Ahmad Kaikaus

Secretary, Power Division,
Ministry of Power, Energy and
Mineral Resources



Mr. A.R.M. Nazmus Sakib

Additional Secretary, Finance Division
(TDM & Admin), Ministry of Finance



Mr. S.M. Formanul Islam

Executive Director & CEO

MESSAGE FROM THE CHAIRMAN, BOARD OF DIRECTORS

As the Chairman of the Board of Directors, I welcome you all to the 6th Annual General Meeting of Bangladesh Infrastructure Finance Fund Ltd (BIFFL). On this august occasion, on behalf of the Board of Directors and shareholders of BIFFL, I humbly congratulate all those concerned for their relentless effort in the journey of BIFFL. I would like to convey my heartiest gratitude and thanks to all the members of the Advisory Board, Board of Directors and Shareholders of BIFFL for their cooperation and support in maintaining the smooth operations of the company during the year 2016.

This year Bangladesh experienced better access to finance from banks and the equity market, rise in the national income along with improved GDP per capita growth. The government's development spending rose significantly from the previous year and has set aside BDT 123,346 crore for implementing various development projects this fiscal year. Bangladesh is well on its way to achieve even greater GDP growth in the coming years and improvement in infrastructure is the key for that. BIFFL is working relentlessly to support infrastructure projects throughout the country.

The year 2016 has been a great one for BIFFL as its financials portray healthy key performance parameters i.e. profitability, quality of assets, capital adequacy etc. In the fiscal year 2016, the profit after tax stands at 75.5 crore BDT. Shareholder's equity increased up by 3% (from 2,133 crore to 2,197 crore). BIFFL's capital adequacy ratio is 112.48% against required 10% and the company is consistently in the green zone in the stress testing conducted by the Central Bank. In the last fiscal year, the interest income from term loan was TK. 18 crore, while this year BIFFL earned a total of TK. 41 crore as interest income. In the year 2016, BIFFL made direct contribution of TK. 56 crore to the national exchequer by paying income tax. The financial health of the company remains stable as it holds a paid up capital of TK. 2,010 crore.

We have been striving to explore new and diversified avenues related to infrastructure financing with the aim of developing and maintaining a sound and sustained portfolio. Fresh blood is key for organizations to move forward and human resource is a vital component for any organization. BIFFL has recruited 50% of its existing employees in the year 2016 in various categories from reputed organizations and universities throughout the country.

BIFFL's potential projects pipeline became even more robust during the year as we financed a few milestone projects from varying industries like power and communication. We also financed a number of projects in green auto bricks in an attempt to promote environment friendly brick industry. BIFFL is also the proud financier of Odyssey Crafts (Pvt) Ltd. which became first syndication green building project in Bangladesh.



I would like to take this opportunity to thank our valued borrowers- existing and the ones whose projects are active under consideration for their continued support, cooperation and for putting their trust in BIFFL. I would also like to express my heartiest appreciation to all the employees of BIFFL who have been working with sincere dedication for the company for their continued devotion and loyalty. My sincere gratitude to all the regulatory bodies- The Ministry of Finance and Bangladesh Bank for their relentless support and cooperation throughout the journey of BIFFL.

New challenges and hurdles are inevitable with the advent of the new fiscal year. But I am confident of BIFFL and its diligent and devoted employees that they will overcome and overcome these obstacles with their devotion and commitment. Hopefully, with the cooperation of all stakeholders, the year 2017 will be a year of reaching greater heights and achieving bigger milestones for BIFFL as it plays its key role in developing the overall infrastructure of the country.

Hedayetullah Al Mamoon
Chairman

MESSAGE FROM THE CHIEF EXECUTIVE OFFICER

BIFFL has completed another year with commendable success! Please let me have the honor to express my deepest gratitude to our Advisory Board, Board of Directors and Shareholders for their continued support, trust in the management, and inspiration. The lean and thin, but multi-tasking staff of BIFFL deserve special mention for their hard work, commitment and dedication in the past year.

Our borrowers are the main drivers of our success! We believe in partnership and creating a win-win situation where both of us can thrive and contribute to our common goal of developing the country. We appreciate you for approaching us for financing your projects and being the best borrowers! At the same time, I would also like to request the potential project developers to give us an opportunity to support your projects.

In 2016, we had the opportunity to work closely with various development partners such as JICA, World Bank, ADB and KfW that had shown interest to support BIFFL in financing large infrastructure, renewable energy as well as energy efficient technologies. BIFFL believes in environmental protection and long-term sustainability of the projects it finances. We appreciate JICA for becoming one of our development partners and funding the Energy Efficiency and Conservation Project as well as Foreign Direct Investment Promotion Project. We are almost at the final stage of becoming a part of the World Bank's IPFF-II project, which is being implemented by the Bangladesh Bank. This project will mitigate our current inability to extend foreign currency loan in eligible projects.

The major highlight of BIFFL in 2016 is adoption of 5-year Strategic Investment Plan (2017-2021). BIFFL aims at channeling about BDT14,000 crore in various infrastructure sectors in this period which will have a multiplier effect in the tune of additional BDT56,000 crore invested from the private sector. If successful, that would contribute about 2.2% in the total investment required in infrastructure sector to achieve the Vision 2021 of the Government. There is no denying the fact that a vibrant, resourceful and capable private sector holds the key towards achieving the desired level of infrastructure development of the country. BIFFL has the mandate and willingness to play a significant role in building a meaningful public-private partnership in this regard.

The 5-year Plan calls for sourcing of a mix of both Local and Foreign Currency fund worth BDT8000 crore. We have a plan to source this amount over the period from the development partners, capital market, bond market and as loan from the Government. We solicit support and cooperation from all concerned towards implementing our 5-year plan. We believe, together, we could make significant contribution in realization of Government's goal for sustainable development of the country.



BIFFL believes that there is no alternative to having a skilled manpower base to achieve the desired level of performance. Our recruitment in the last year was fantastic with the selection process being truly competitive, fair and transparent. Attracting the best among fresh graduates from leading educational institutions and retaining them proves BIFFL becoming an employer of choice for the bright and talented graduates. BIFFL will continue to offer a congenial environment where its employees feel comfortable and get the opportunity to further hone up and develop their skills.

The Financial Year 2016 was excellent! The year 2017 promises to be outstanding! We appreciate the able guidance from the Board and our regulators; trust shown by our borrowers; and strong commitment of the BIFFL Team. We commit ourselves to take the company to the next level.

Finally, I would like to thank each and everybody who were instrumental in our smooth journey last year and expect to have you with us all along.

S.M. Formanul Islam
Executive Director & CEO

MANAGEMENT COMMITTEE

In line with the organization's aim and objectives, policies and strategies as approved by the Board, the Management Committee (MANCOM) of BIFFL gives guidelines, decisions and monitors the day to day operation of the organization. The MANCOM comprises the senior officials and the representatives of different departments, as follows:

Mohammad M. Khan, ACS
Company Secretary & Head of CCU

S.M. Formanul Islam
Executive Director & CEO

Md. Sagir Hossain Khan
Chief Operating Officer (COO)

Md. Nisarul Kabir Siddiqui
Principal Officer & Unit Head (Treasury)

Mashruna A. Chowdhury, ACA
AVP & Chief Financial Officer (CFO)



LETTER OF TRANSMITTAL

Dear Sir (s),

We are very much happy to present the Annual Report for the year 2016 of Bangladesh Infrastructure Finance Fund Limited (BIFFL). BIFFL is a non-banking financial institution under the ownership of the Finance Division of the Ministry of Finance. It finances infrastructure and environment & eco-friendly projects to ensure sustainable economic growth of the country.

The Annual Report contains all material information of the functions and financial outcomes of the organization audited by the external auditors. The report also presents the Corporate Governance & Regulatory Compliance Status of the organization.

To our knowledge, the report also provides for the information required by the regulators and other applicable laws and regulations.

Regards.

Yours Sincerely,



S.M. Formanul Islam
Executive Director & CEO

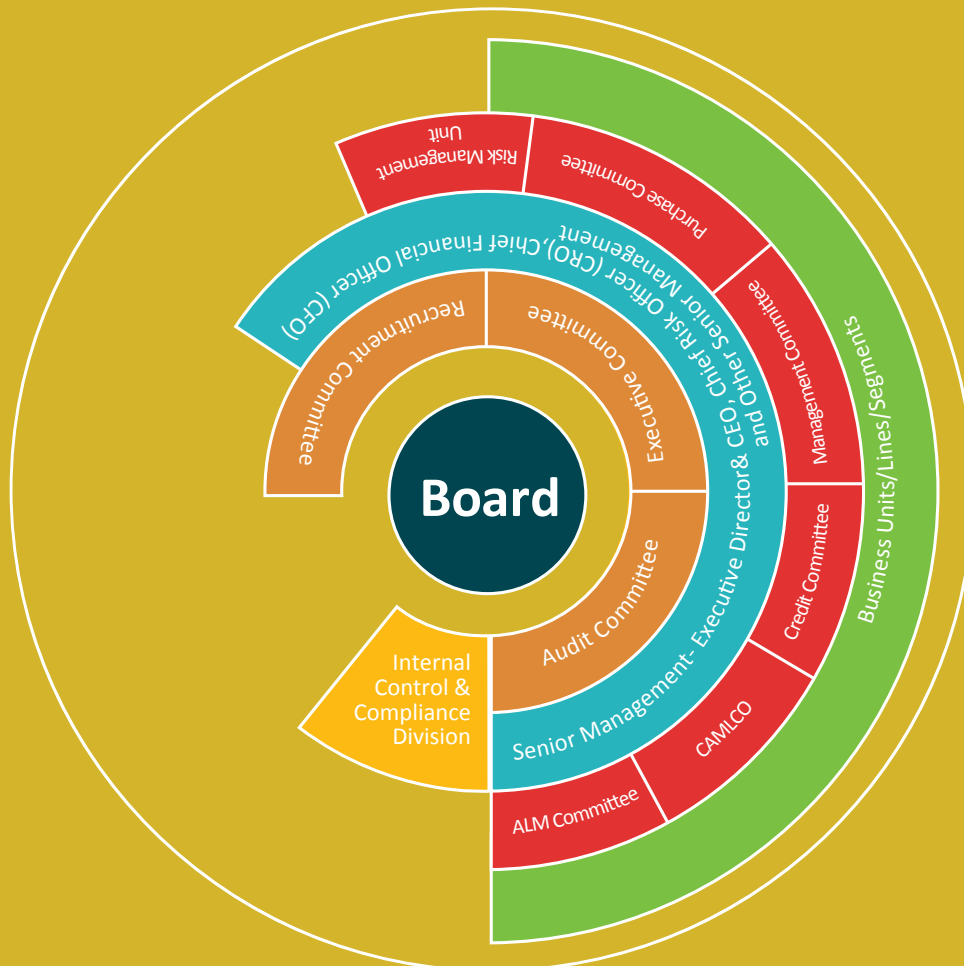
STATEMENT OF RISK MANAGEMENT

BIFFL believes that effective risk management is of primary importance to its overall operations. Accordingly, BIFFL's risk management process has been designed to monitor, evaluate and manage the principal risks it assumes in conducting its activities. Specifically, the activities that BIFFL engages in—and the risks those activities generate—must be consistent with BIFFL's underlying commitment to the principles of and in line with BIFFL's risk appetite. BIFFL's risk appetite framework includes principle-based qualitative boundaries to guide behavior and quantitative boundaries within which the company will operate, including capital

strength and earnings power. In BIFFL, only calculated risks are taken while conducting business to strike a balance between risk and return. Risk is clearly identified, mitigated or minimized and if possible eliminated to protect capital and to maximize value for the shareholders. BIFFL selectively takes risks in support of its underlying customer-centric business strategy. BIFFL evaluates and rewards employees with specific consideration to their risk behaviors, including transparency, communication and escalation of concerns.

BIFFL Risk Management Infrastructure

Risk management procedures are approved, monitored, and mitigated at various stages of BIFFL with a combination of Board, its committees, management committees, management units, Internal Control & Compliance Division and Risk Management unit. The hierarchy of BIFFL risk management infrastructure is as under:



Board of Directors

The Board oversees and approves all major risk management policies and parameters taking into account market condition, regulatory requirements and lessons learned in the past. While setting policies and parameters for credit, operational and market risks, a balance is maintained for ensuring smooth operations while protecting against downside risk from potential loss or foregone income and to protect interest of shareholders.

Executive Committee

Executive Committee (EC) of the Board is responsible to oversee that the management and its committees are operating within approved limits and authorities and that all major risks are managed & mitigated effectively and potential and actual losses arising from risks are within the acceptable limits. EC also approves all credit proposals except the large loan proposals, administrative proposals and major purchases as recommended by the Credit Committee, Management Committee and Purchase Committee respectively.

Audit Committee

Audit Committee (AC) of the Board independently monitors all activities of operations involving credit risks, operational risks and market risks through Internal Control & Compliance Division (IC&CD) of BIFFL. Risk based audit plan for IC&CD is approved by the Committee and its implementation is monitored on a regular basis to ensure that all risk factors are adequately addressed and any deviation is quickly corrected to ensure sustainable operation of BIFFL.

Risk Management Framework

BIFFL is to be a highly dedicated Financial Institution of Bangladesh in a professional manner by adopting the internationally accepted best practices keeping high the ethical values and maintaining of transparency in all activities in order to promote Country's sustainable economic development by facilitating and encouraging Private Sector Investment in all infrastructural projects. BIFFL believes in sustainable growth which is ensured through appropriate tradeoff between risk and return.

Risk Identification, Assessment and Analysis

Risk analysis unit identifies and analyses all prevailing and probable risk of BIFFL appropriately and timely. This unit collects all relevant data related to the risk indicators from different models and information system at the earliest. They assess the quality, completeness and correctness of those data. They identify and quantify the risks and their exposures to material loss. They prepare Risk Management Paper on quarterly basis and conduct periodic Stress Testing.

In addition, the Credit Risk Management Committee (CRMC) regularly meets to review the market and credit risk related to lending and recommend and implement appropriate measures to counter associated risks. CRMC reviews the Due Diligence of the individual project considering its technical, commercial, financial, management, economic and social & environmental aspect. They also review the probable impacts of local and global economic condition on the project which is to be financed.

An independent Credit Risk Management (CRM) Department is in place at BIFFL to check all compliances of regulatory body, credit norms and policy of BIFFL in order to create a high quality and efficient credit portfolio and maximize shareholders' return. Credit Risk Grading (CRG) technique helps a Financial Institution to understand and quantify of risks involved in financing individual project. This is done at BIFFL at pre-sanction and post sanction stage of loan. This assists management to monitor changes and trend in risk levels. The process also allows the management to manage risk and optimize return.

To mitigate credit risk, BIFFL requires credit report from Credit Information Bureau (CIB) of Bangladesh Bank and Credit Rating Report of the individual customer/project from external Credit Rating Agency approved by Bangladesh Bank. This report is scrutinized by CRM and CRMC to understand the liability condition, repayment behavior of the customer and business and market condition of the project. BIFFL is going to establish Internal Control and Compliance Division (IC & CD) to address operational risk. IC & CD ensures that an appropriate framework exists to identify, assess and manage operation risk. However, internal control measures are in place at BIFFL to mitigate operational risks under Board Audit Committee.

The Asset Liability Management Committee (ALCO) of the Company regularly meets to assess the prevailing market risk. ALCO members analyze the changes in interest rate, market conditions, re-pricing of products and thereby takes effective measures to monitor and control interest rate risk.

Risk Reporting and Communication

After assessment of risks inherent at different divisions of BIFFL, those risks are reported by Risk Analysis Unit to Risk Management Forum-RMF (consisting the top management of BIFFL).

Plan Actions

RMF recommends some specific action plans for mitigating the identified risks to be implemented by the head of different divisions with a given timeline. Furthermore, risks are properly communicated to the Board of Directors by Board Audit Committee.

Implementation of Plan Actions

In line with guideline of Bangladesh Bank for comprehensive risk management of the Bank, the Risk Management Division has been carrying out the following activities:

- ▶ all regulatory compliances related with Basel II;
- ▶ all regulatory compliances related with Stress Testing;
- ▶ all regulatory compliances related with CAMELS Rating of Bangladesh Bank;
- ▶ all regulatory compliances related with comprehensive Risk Management Rating including preparation of Risk Management Paper in line with the Bangladesh Bank's reporting format and informing the Board/ Risk Management Committee about major findings of Risk Management Paper for ensuring the regulatory compliances as per requirement.

Monitoring and Controlling of Risk

BIFFL risk management process requires that risks are effectively identified and assessed and that appropriate controls and responses are in place. Board Audit Committee and IC & CD are to carry out regular audits of policy and standards, compliances and standard performance is reviewed to identify opportunities for improvement. The monitoring process provides assurance that there are appropriate controls in place for the organization's

activities and the procedures are understood and followed. Every month BIFFL holds ALCO and risk management meeting where the members from concerned departments discuss the potential risks related to each scenario and the management evaluates them and gives necessary instructions in order to mitigate these risks.

BIFFL Risk Management Process

A well-structured and proactive risk Management system is in place within BIFFL to address the risk relating to Credit, Market, Liquidity, and operation. BIFFL has different committees for risk management and internal control measures are also in place to mitigate risk. The governance of risk management starts with our Board which plays an important role in reviewing and approving risk management policies and practices.

In addition, the industry best practices for assessing, identifying, and measuring risk, BIFFL's Board has approved core risk policies as per guideline of managing core risk of financial institutions issued by Bangladesh Bank time to time. Through our risk management framework, we manage enterprise-wide risk, with the objective of maximizing risk-adjusted returns while remaining within our tolerance. As a part of this framework, the Board has approved a set of principles that describe the risk management culture we wish to sustain:

Balancing Risk and Return

- ▶ We manage our risks to build a sustainable franchise, in the interests of all our stakeholders;
- ▶ We only take Risk within our risk tolerances and risk appetite, and where consistent with our approved strategy;
- ▶ We manage our risk profile to maintain a low probability of an unexpected loss event that would materially undermine the confidence of our investors.

Conduct of Business

- ▶ We demonstrate we are here for good through our conduct, and are mindful of the reputational consequences of inappropriate conduct;
- ▶ We seek to achieve good outcomes for clients, investors and the markets in which we operate. while abiding by the spirit and letter of laws and regulations;
- ▶ We treat our colleagues fairly and with respect.

Responsibility and accountability

- ▶ We take individual responsibility to ensure risk-taking is disciplined and focused, particularly within our area of authority;
- ▶ We make sure risk-taking is transparent, controlled and reported in line with the risk management framework, within risk appetite and Risk tolerance boundaries and only where there is appropriate infrastructure and resource.

Anticipation

We seek to anticipate material future risks, learn lessons from events that have produced adverse outcomes and ensure awareness of known risks.

Competitive Advantage

We seek to achieve competitive advantage through efficient and effective risk management and control.

We have identified a comprehensive suite of risk factors which covers the broad range of risks our businesses are exposed to. A number of the risk factors have the potential to affect the results of our operations or financial condition, but may not necessarily be deemed as top or emerging risks. However, they inform the ongoing assessment of our top and emerging risks which may result in our risk appetite being revised. The principal risks associated with business and ways of mitigations are described in the below:

Credit Risk Management

Credit risk is one of the most significant risks BIFFL faces as an institution. As a result, BIFFL has a well-established framework in place for managing credit risk across all businesses. This includes a defined risk appetite, credit limits and credit policies, both at the business level as well as at the company-wide level. BIFFL's credit risk management also includes processes and policies with respect to problem recognition, including "watch lists," portfolio review, updated risk ratings and classification triggers. Credit Risk Management as one of the core risk is designed and regularly updated to identify, measure, manage and mitigate credit risk to maintain and improve quality of loan portfolio and reduce actual loan losses and to ensure that approved processes are followed and appropriate due diligence are carried out in appraising and subsequent approving new credit facilities. Credit Risk Grading (CRG) is an important tool for credit risk

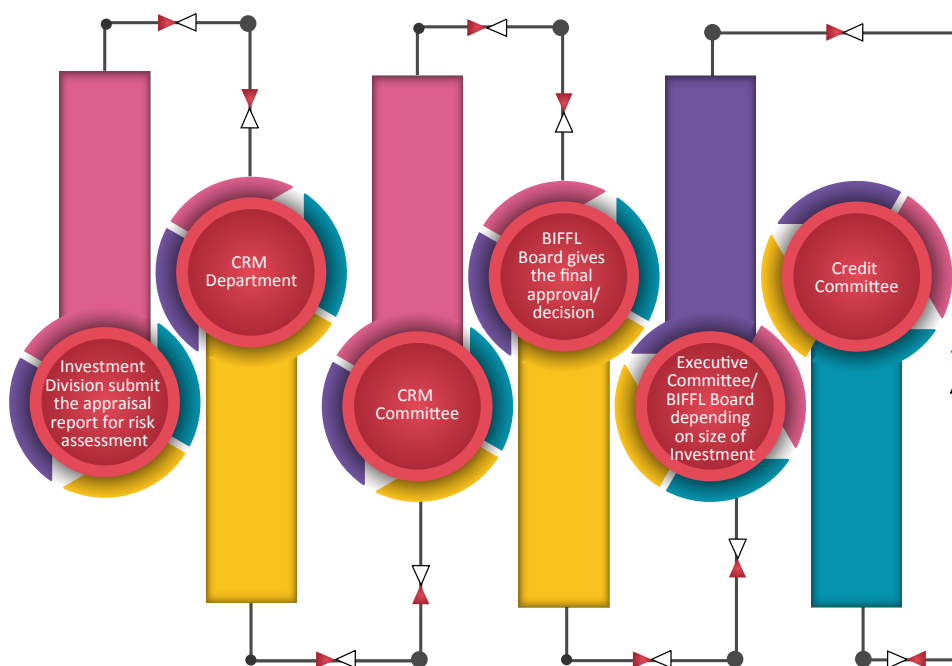
management as it helps the BIFFL to understand various dimensions of risks involved in different credit transaction. The aggregate score of CRG can provide better assessment of the quality of credit portfolio of BIFFL. Another tool of minimizing credit risk is to obtain and review credit rating of a company before extending credit facilities. Risk Management Committee is responsible to review the credit rating of the borrower annually.

AT BIFFL credit risk may arise in the following forms:

- ▶ Default Risk
- ▶ Credit Concentration Risk
- ▶ Recovery Risk
- ▶ Political Risk
- ▶ Counter Party Risk
- ▶ Related Party Risk
- ▶ Security Risk
- ▶ Social & Environmental Risk

Credit Approval Process

BIFFL Board of Directors has the overall responsibility for management of risks. The Board decides the risk management policies of BIFFL. The Credit Committee is a subcommittee including CEO and senior management of BIFFL. In general, all credit proposals are originated from the investment department of BIFFL. The Credit Risk Management team conducts a thorough credit and risk assessment prior to forwarding any proposal to the Credit Committee. Nevertheless, the credit proposal is clearly stated that all instructions and guidelines of the credit policy have been complied with. To ensure prompt and accurate service and mitigation of credit risk, the credit approval process is now two stages depending on the size of the loan which are Executive Committee and/or BIFFL Board. The Executive Committee (EC) is a committee including CEO and members of the Board of Directors. EC approves the credit proposal within their delegated authority after recommendation/review of Credit Committee. Credit proposal which is beyond delegated authority of EC is submitted to the Board of Directors for approval.



Flow Chart: Credit Approval Process

BIFFL believes in diversification in terms of products and sectors. Sector allocation has already been passed by the Board of Directors of BIFFL to overcome any adverse impact on the BIFFL's return. According to risk return criteria, a risk based pricing model is followed at BIFFL. This automatically provides asking price for a particular customer/project depending on the project type, repayment capability, tenure of the Loan, risk grading of the project and prevailing market/economic condition of the country vis-a-vis the world.

Market Risk Management

Market risk encompasses funding and liquidity risk, interest rate risk and price risk, each of which arises in the normal course of business of a financial intermediary such as BIFFL. Market risk is actively monitored by the Treasury Unit of BIFFL. The objective of market risk management is to manage and control market risk exposure within acceptable parameters.

Funding and Liquidity Risk Management

Adequate liquidity and sources of funding are essential to BIFFL's businesses. Funding and liquidity risks arise from

several factors, many of which BIFFL cannot control, such as disruptions in the financial markets, changes in key funding sources, credit spreads, changes in credit ratings and political and economic conditions in certain countries.

BIFFL has no exposure in Capital Market and therefore it is not exposed to any market risk related to securities but exposed to interest rate risk. The Treasury Unit in collaboration with Accounts and Finance Division manage interest rate risk with oversight of Asset-Liability Management Committee (ALCO) comprising senior management of BIFFL. Since BIFFL does not take any deposits from the market there is no adverse maturity gap in terms of its assets and liabilities. But it exposes liquidity risk of converting its fixed deposit into cash at reasonable price on time. The Treasury Unit manages the liquidity risk with oversight of ALCO comprising senior management of BIFFL.

Operational Risk Management

Operational risk is the potential loss arising from the failure of company's systems, people and procedures, internal control, compliance requirements or corporate governance practices that result in human error, fraud, failure, damage of reputations, delay to perform. Operational risk may also

arise from the following factors:

- ▶ Shortcomings of organizational structure;
- ▶ Turnover of trained employees;
- ▶ Leakage of sensitive information;
- ▶ IT Security;
- ▶ Money laundering and terrorist financing;
- ▶ Changes in statutory requirements;
- ▶ Changes of Govt. law;
- ▶ Technological obsolescence.

Compliance risk Management

Compliance risk is defined as the current or prospective risk of legal sanction and/or material financial loss that an organization may suffer as a result of its failure to comply with laws, its own regulations, code of conduct, and standards of the best practice as well as from the possibility of incorrect interpretation of laws or regulations. The guidelines articulate the respective roles of the board, senior management and compliance function units in managing compliance risks and also require formulation of a written compliance risk management policy.

BIFFL has always fostered a compliance oriented culture. Senior management has constantly stressed the need to do business in a compliant manner. In general, compliance risk management is embedded in the day to day to business processes and practices of the company.

Potential risks

- ▶ Potential financial loss;
- ▶ Serious regulatory implications (revocation of license, imprisonment, possibility of fines/penalties from regulators);
- ▶ Potential/actual damage to reputation;
- ▶ Major corporate governance failure;
- ▶ Customer dissatisfaction;
- ▶ Loss of business opportunities.

Plan of action to mitigate potential risks

- ▶ Understand applicable rules and regulations and keep up to date;
- ▶ Communicate new rules and regulations to concerned departments and help them in adoption of the same;

- ▶ Communicate the required reports/statements to regulators within the stipulated time period;
- ▶ Maintain cordial relations with the regulators, customers and other stakeholders;
- ▶ Act as a liaison between management and regulators;
- ▶ Arrange for in-house trainings and attend out-of-house trainings on new developments in the financial sector;
- ▶ Develop checklists for applicable rules and regulations and ensure compliance of the concerned departments, like through DCFCLs.

The Internal Control & Compliance (ICC) Department of BIFFL was formed and started the operation from 2016. Since then, the department is monitoring the reporting of various departments to Bangladesh Bank and other regulatory authorities. The department also ensure the compliance of relevant laws, regulations, directives of different regulators and its own policies.



DISCLOSURE ON CAPITAL ADEQUACY AND MARKET DISCIPLINE (CAMD)

In accordance with Bangladesh Bank's DFIM Circular no. 14 dated 28 December 2011, the disclosures on capital adequacy and market discipline have been made in line with same circular, which consists of the following three mutually reinforcing pillars:

Pillar I: This prescribes the minimum capital requirements for Credit Risk, Market Risk and Operational Risk.

Pillar II: This prescribes the Supervisory Review Process which is based on the principle that the Company assesses the overall adequacy of its capital and set targets for capital that commensurate with the Company's specific risk profile and control environment.

Pillar III: This depicts Market Discipline and comprises as set of disclosures on the capital adequacy and risk management framework on the Company to ensure that market participants can better understand the Company's risk profile and the adequacy of its capital.

Scope of Application Qualitative Disclosures

The name of the top corporate entity in the group to which this guideline applies: Bangladesh Infrastructure Finance Fund Limited (BIFFL).

An outline of differences in the basis of consolidated for accounting and regulatory purpose with a brief description of the entities within the group

(a) that are fully consolidated;

(b) that are given a deduction treatment; and
(c) that are neither consolidated nor deducted (e.g. where the investment is risk weighted):

Not Applicable since the Company does not have any subsidiary.

Any restrictions, or other major impediments, on transfer of funds or regulatory capital within the group.

Not Applicable since the Company does not have any subsidiary.

Quantitative Disclosures

The aggregate amount of capital deficiencies in all subsidiaries not included in the consolidation that are deducted and the name(s) of such subsidiaries.

Not Applicable since the Company does not have any subsidiary.

Capital Structure Qualitative Disclosures

Summary information on the terms and conditions of the main features of all capital instruments, especially in the case of capital instruments eligible for inclusion in Tier I or in Tier II.

As per the guidelines of Bangladesh Bank, Tier - I and Tier - II Capital of the Company consists of as per following

Tier - I	Tier - II
Fully Paid-up Capital	General provision
Non-repayable share premium account	Revaluation reserves – - 50% of revaluation reserve of fixed assets - 45% of revaluation reserve on securities
Statutory Reserve	All other preference shares
Retained Earnings	

Quantitative Disclosures

The amount of Tier I capital, with separate disclosure of:

Particulars	Taka in million
Paid-up capital	20,100
Non-repayable share premium account	-
Statutory Reserve	1242
General Reserve	-
Retained Earnings	648
Total Tier - I capital	21,990
Total amount of Tier - II Capital	103
Other deductions from capital	-
Total eligible capital	22,093.55

Capital Adequacy Qualitative Disclosures

A summary discussion of the Company's approach to assessing the adequacy of its capital to support current and future activities.

BIFFL has adopted Standardized Approach for computing Capital Charge for Credit and Market Risk while Basic Indicator Approach for Operational Risk. Total Risk Weighted Assets (RWA) is determined by multiplying the capital charge for market risk and operational risk by the reciprocal of the minimum capital adequacy ratio which is currently 10% and adding the resulted figure to the sum of the RWA for credit risk. Capital Adequacy Ratio (CAR) is then determined by dividing total RWA by total Eligible Regulatory Capital.

Quantitative Disclosures

Particulars	Taka in million
Capital requirements for Credit Risk	5,014.50
Capital requirements for Market Risk	3,195
Capital requirements for Operational Risk	8,209

Total and Tier-I capital ratio- For stand alone

CAR on Total Capital basis (%)	276.71%
CAR on Tier-I Capital basis (%)	275.42%



STATEMENT OF GREEN BANKING

BIFFL is very firm in its Green Banking commitments. In the last one year, it has worked hard to make an impact in the market through prioritizing investment in green projects. Its 'Sustainable Finance Unit' is now functioning as one of the leading units in the market.

BIFFL has five focused area for investment in the sustainable finance:

- ▶ Auto (Green) Bricks
- ▶ Utility-scale Solar power
- ▶ Green Building
- ▶ Energy Efficient Technologies
- ▶ Waste Treatment & Recycling

We are currently offering these services to the prospective borrower:

- ▶ Advisory Services
- ▶ Project Finance/ Refinance
- ▶ Loan Syndication

We offer soft loans from 3 different refinance schemes:

Refinancing Scheme for Green products/ Initiatives

- ▶ Source of Fund: Bangladesh Bank, Fund Amount 200 Crore, Interest rate: 8%-9%, subject to tenor
- ▶ Featured Areas: Solar Energy, Bio Gas, Wind Energy, Waste Treatment & Recycling, Energy Efficiency, Green Building, Auto Bricks etc.

Financing Brick Kiln Efficiency Improvement Project

- ▶ Source of Fund: Asian Development Bank /Bangladesh Bank, Fund Amount: USD 50 mn; Interest Rate: 9%
- ▶ Featured Areas: Tunnel kiln-based Auto Bricks Only

Energy Efficiency and Conservation promotion financing Project

- ▶ Source of Fund: Japan International Corporation Agency (JICA), Fund Amount: USD 120 mn; Interest Rate: 4%-5%, (yet to be finalized)
- ▶ Featured Areas: Fertilizer, Paper, RMG, Glass, Cement, Steel, Food, Telco Industry, Green Building and Home Appliance.

BIFFL also finances green brick projects from its own source of fund at a very low rate, mostly at 9%, to promote the green brick sector.

The Highlights of the unit as of 15 April, 2017 can be summarized as follows:

Approval and Disbursement

▶ Auto Brick Projects:

BIFFL has disbursed in the following projects:



Name of the Project	Project Location	BIFFL Sanction (BDT Crore)	BIFFL Disbursement (BDT Crore)
Makrail Auto Green Bricks Ltd.	Modhukhali, Faridpur	17.5	16.48
Dharmapur Ceramic Bricks Industries Ltd.	Ashulia, Dhaka	20	3.01
First Auto Bricks Ltd.	Polash, Narshingdi	10	3.43
Asim Auto Bricks Industry Ltd.	Mirjapur, Tangail	20	-
MRD Bricks Ltd.	Dumuria, Khulna	10	-
Naz Auto Bricks Ltd.	Mithapukur, Rangpur	10	-
ANB Auto Bricks Ltd.	Madargonj, Jamalpur	20	-
Equitable Auto Bricks Ltd.	Shirajdikhan, Munshiganj	20	-

► Green Industry:

BIFFL has disbursed in the following projects:

Name of the Project	Project Location	BIFFL Sanction (BDT crore)	BIFFL Disbursement (BDT crore)
Odyssey Craft (Pvt.) Ltd.	Dhamrai, Dhaka	90.86	40.77

Refinancing

- BIFFL availed refinancing from Bangladesh Bank for an amount of BDT 60 Lac against investment in a Zigzag Kiln-based bricks manufacturing plant of ARB Enterprise, situated in Dhamrai, Dhaka which has an installed production capacity of 30,000 bricks/day.
- Three brick projects i.e. Asim Auto Bricks Industry Limited, Dharmapur Ceramic Bricks Industry Limited and MRD Bricks Limited have received preliminary selection from Bangladesh Bank for refinancing facility under 'Financing Brick Kiln Efficiency Improvement Project'.

Syndication Financing

- BIFFL is working as lead arranger and agent for 3 auto brick projects totaling an amount of BDT 107.86 crore where BDT 42.08 crore needs to be raised for Dharmapur Ceramic Bricks Industry Limited; BDT 32.72 crore for Asim Auto Bricks Industry Limited and BDT 33.06 crore for MRD Bricks Limited.
- BIFFL is arranging BDT 206.90 crore for Odyssey Crafts (Pvt.) Ltd, a fully compliant RMG. The syndication facility is divided into two tranches where the first tranche of BDT 107.50 crore has already been arranged.

Green Events

BIFFL Green Brick Convention 2016: BIFFL organized "BIFFL Green Brick Convention 2016," the first ever event of its kind in Bangladesh, with the gracious presence of Honorable Finance Minister as the chief guest to share the views of all relevant stakeholders and raise awareness about the promotion and financing of green brick projects. The Honorable Minister, Ministry of Industries, sent his valuable message in which he mentioned that the declaration of green bricks sector as industry is imminent. Besides, the Governor of Bangladesh Bank, the Country Director of Asian Development Bank, BRM and Senior Secretary, Prime Minister's Office were present as Special Guests. Mr. Mahbub Ahmed, former Senior Secretary, Finance Division and Chairman, BIFFL presided over the event.

BIFFL has also sponsored and participated in three more Green Events

- ▶ 4th International Conference on Developments in Renewable Energy and Technologies (ICDRET), 7-9 January, 2016, Organized by United International University.
- ▶ Workshop on 'Energy Efficiency and Conservation Promotion in Industries', 28 January, 2016, Organized by JICA, SREDA
- ▶ Bangladesh International Green Summit 2016 & Bangladesh International Innovation and Development Expo 2016, 11-13 March, 2016, Organized by ExpoNet Exhibitions.

Training and Consumer Awareness

BIFFL has provided green finance trainings to all of its officials in 10 different programs in FY 2016.

Sector Specific Environmental Policies

Strategies are being formulated to design specific policies for different environment sensitive sectors.

Green Strategic Investment Planning

BIFFL has already developed five-year investment projection for sustainable finance sector with an amount of BDT 1,648 crore to be invested in green sector where forecasted investment amount is BDT 285 crore in 2017, BDT 300 crore in 2018, BDT 315 crore in 2019, BDT 345 crore in 2020 and BDT 403 crore in 2021.



CORPORATE SOCIAL RESPONSIBILITY

BIFFL, being a responsible corporate body, believes that it has a moral responsibility to aid and serve the society to the maximum possible extent. With this belief, the organization has developed a CSR policy of its own, awaiting approval from the Board of Directors. The policy will be closely in line with the State CSR policy for businesses in Bangladesh, which is also under process for approval.

By considering the relative importance of various sectors stated in the Bangladesh Bank directives as per DOS circular no.01 of June 2008, its subsequent circulars and finally the GBCSRD circular no.07 of December 2014, CSR programs of BIFFL will be operated in the following sectors:

- ▶ Public Health & Safety;
- ▶ Education and Research & Development works;
- ▶ Protection of Environment & Nature and Disaster Management;
- ▶ Protection of Environment and Nature;
- ▶ Restoration of History, Culture and Heritage

The Government of Bangladesh persuades and appreciates the CSR program of the corporate entities of the country. National Board of Revenue (NBR) offers different tax incentives and rebate to motivate the spirit of CSR.

Bangladesh Bank (BB) being the primary regulator of Banks and Non-Banking Financial Institutions (NBFI) of the country is also vigilant to the CSR initiatives and contributions of the Banks and NBFIs, and issues Circulars, Directives and Guidelines on CSR.

BIFFL is directly or indirectly participating in or implementing the different CSR programs by meticulously complying the directives and guidelines of Bangladesh Bank.



Dr. Kamal Abdul Naser Chowdhury, Principal Secretary, PMO and Ms. Suraiya Begum, Senior Secretary, PMO are receiving the cheque of BDT10,00,000 donated by BIFFL to Prime Minister's Relief and Welfare Fund.

In 2015, the same amount was also donated by BIFFL to this Relief and Welfare Fund for winter affected people.

BEACH CLEANING INITIATIVE AT COX'S BAZAR

BIFFL arranged to set up a trash bin at Sea Pearl point for the general people to use in an attempt to encourage all visitors to keep the beach neat and clean.



Honourable Chairman (Former) Mr. Mahbub Ahmed along with other members of the Board of Directors and Management of BIFFL are setting up a trash bin at Cox's Bazar's Sea Pearl point beach

BIFFL arranged a day long activation of cleaning Inani beach. The program started from the Sea Pearl Point with all the BIFFL officials to ensure that the sea beaches are kept clean and to inspire and encourage general people to join in a nature conservancy program.



BIFFL officials during the day long beach cleaning program

PUBLIC AWARENESS

In the light of recent acts of terrorism, it is important to create awareness on consequences of money laundering and terrorist financing. To fight the challenges posed by corruption in governance, corporate and development aspect, Bangladesh Government approved the National Integrity Strategy (NIS) in October 2012 through a process of wide-ranging stakeholder consultations. NIS has a set of goals, strategies and action-plans aimed at increasing the level of independence, accountability, efficiency, transparency and effectiveness of government and non-government organizations for improving governance, and reducing corruption in a holistic manner.



Billboard by BIFFL at Jatrabari to create public awareness

FINANCIAL ASSISTANCE TO CANCER PATIENTS

BIFFL provided financial assistance of total BDT 40,000 to two cancer patients.



Cancer patient Khotaja Begum's (Bamandanga, Kurigram) husband, receiving the cheque



Cancer patient Toushi's (Jamalpur) sister, receiving the cheque



HUMAN RESOURCE

Human resource is the ultimate capital to achieve the vision of BIFFL. To reach at the vision of “Accelerating of economic growth by leveraging relative strengths of public and private sector through financing infrastructure project; sourcing, screening and retaining the very right person at the right time at the right position is crucial to us.

A team of highly experienced and dynamic workforce are continuously executing the direction of the management to establish its place in the market. Now, as BIFFL is successful to gain a unique place in the market, the executives are gaining top position in the industry and uphold its reputation through best Human Resource practices. BIFFL strongly relies on the team work and extreme coordination of the teams.

BIFFL Management always ensures such a friendly, vibrant and congenial work environment which continuously develop employees, their competencies, health and wellbeing, experience, innovation, capabilities and level of motivation.

BIFFL follows “Crystal Clear” in in-taking process of the employees. In 2016, we have recruited 13 new employees in different departments. Now we are a team of 26 employees as follows:

Type of Employee	Number of Employee
Senior Level	03
Mid Level	05
Lower Level	18
Total	26

All employees of BIFFL are critically reviewed annually against their job standard. We follow 360-degree strategy in appraising employee performance. It helps to identify the level of employee performance and employee skills and facilities need. Our appraisal strategy also focuses on high performer, perfect reward and succession planning. To ensure proper execution of corporate governance “Human Resource Management strategies” are practiced with utmost sincerity.

Employee Benefits and Well-being:



Sustainable Career



Attractive Compensation Package



Health & Safety



Employee Engagement Program

Employee Development Program

In probation, rigorous on the job and off the job training is provided. After probation or within or at any stage of the job if the authority or employee finds that she/he is not meeting the expectation, she/he is counseled and if needed different training is provided and assist to accommodate other responsibilities and even change the track. BIFFL HR team provides the best suitable training in the best training organizations and brings in the best trainer to the premises. Most of the initial mid-level executives got their training from World Bank, ADB, JICA and Bangladesh Bank. However, basic induction trainings are arranged in the premises where senior BIFFL executives introduces the vision, mission, strategies and goals of the

organization. In 2016, our 03 employees received overseas training from Japan and China. In 2017, we have planned to arrange some overseas training in different areas for our employees. Moreover, Enterprise Resource Planning (ERP) will be introduced and it will make the Human Resource Management operations easy.

BIFFL started with a Board of Directors and 4 employees in 2011. Now there are 44 employees including the staff in the operation with a supporting generous Board. Human Resource Management of BIFFL adopts anything that brings a positive change in putting the right person in the right place at the right time.

WOMEN ENTREPRENEUR DEVELOPMENT



Bangladesh is often cited as a global model for sustainable economic development. But no socio-economic, political and cultural development is possible without the empowerment of women simply because almost half of our total population is women. In our country, the economic and social contribution of women is substantial but largely unacknowledged. Bangladesh has one of the highest percentages of female business owners despite having difficulties, which a latest international survey considered to be the worst in some parameters. About one third or around 31.6% of the country's business owners are female, said a report based on a survey conducted by MasterCard. Only five countries- Uganda, Botswana, New Zealand, Russia and Australia have a higher rate of Women Entrepreneurship than Bangladesh, according to the MasterCard index. All other Asian countries were included in the index, including Vietnam, China, Singapore and India, have a lower percentage of female entrepreneurship than Bangladesh. Bangladesh has come at the bottom of the index due to very low overall score in the parameters of women's advancement outcomes, knowledge assets, financial access and supporting entrepreneurial conditions said the report.

Major challenges, women face in their way of becoming entrepreneur in our country

Despite the emergence of women entrepreneurship is a new phenomenon all over the world. It is no secret that women have historically faced greater barriers than man when it comes to fully participating in the economy. They face many socio-cultural insolvency, legal barriers, lack of education and personality difficulties.

- In our country women are rarely financially independent and vulnerable members of society. World Economic Forum's Global Competitiveness Index shows that Bangladesh rating extremely poor in terms of access to bank loans and affordability of financial services;
- In our society women's work and their overall contribution is mostly unrecognized and remain unpaid. A study found women entrepreneurs are not getting fair price for their products;
- Our education system prepares a student to become corporate executive, not an entrepreneur;
- Insignificant legal and administrative support and social barriers have been identified among the major obstacles;
- They do also face bureaucratic red-tape in many stages including where to go with the idea, where capital will be accessible etc.

Countries with enabling conditions foster more opportunity driven entrepreneurs while countries with less conducive supporting conditions tend to breed more necessity driven entrepreneurs. From the thirst of developing desire driven

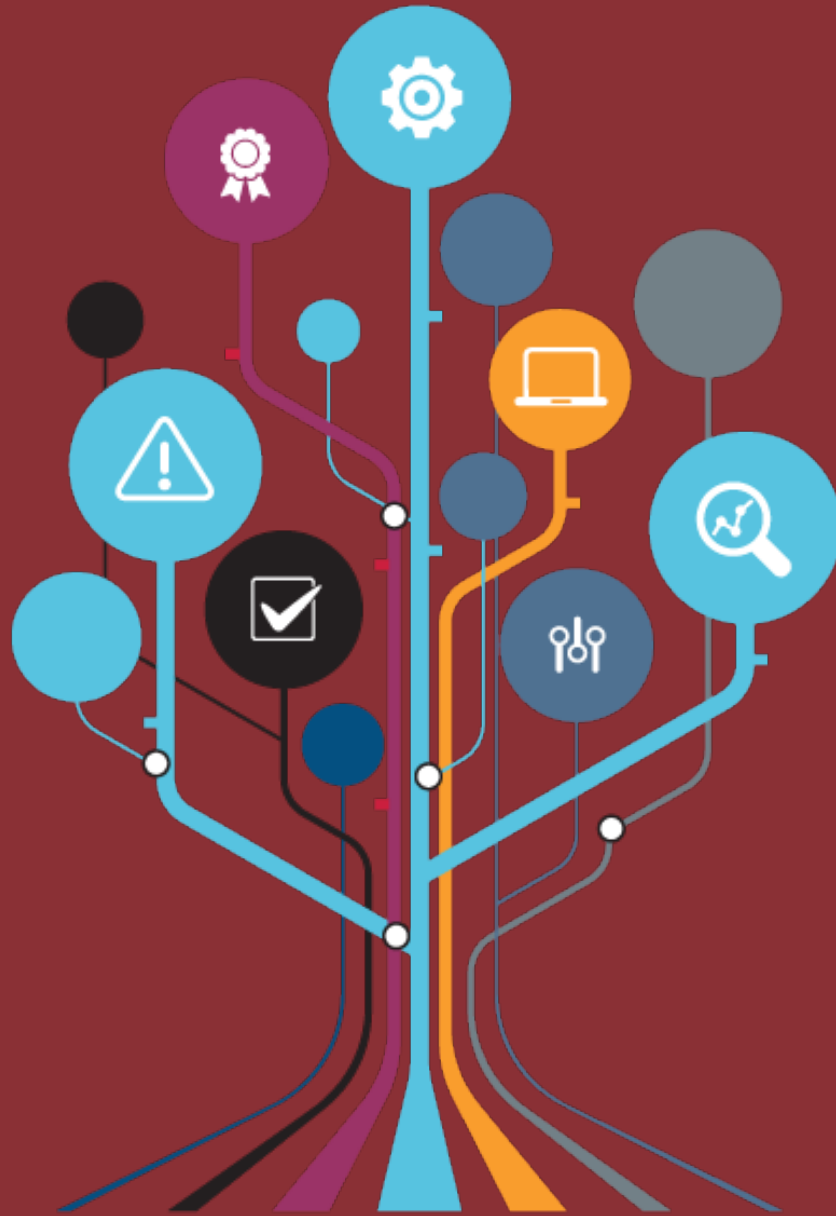
women entrepreneurship in Bangladesh, Bangladesh Government has taken several steps to unleash their potentiality. In line with that, Bangladesh Bank has also taken measures to develop Women Entrepreneurship through training, refinancing, allocating funds and services. There are dedicated desks, wings and employees in all scheduled banks and NBFIs which exclusively serves Women Entrepreneurs.

BIFFL 'Shoilee':

BIFFL's long term vision is to bring Women Entrepreneurs beyond micro level to larger scale business initiatives. Its aim is to remove the stereotype about women's incapacity to develop and run big businesses. BIFFL has established its Women entrepreneurship Development Unit (WEDU) in the year 2016, which is dedicated to encourage women to explore unconventional business opportunities. Under WEDU, 'Shoilee' - a customized financing facility has been offering to Women Entrepreneurs to give them an extra edge to succeed. Considering business/project merits 'Shoilee' offers concessionary rate for its target customer.

BIFFL has allocated 300 million for women entrepreneurs for the year 2017 by understanding the fact that no nation can tackle the development challenges alone unless its women are given equal access to resources, opportunities and adequate safety and security.





STATEMENT OF **CORPORATE GOVERNANCE**

BIFFL is committed to establish its corporate governance structure by adopting, reviewing and complying with all the policies and practices to ensure a balanced corporate environment within the organization with maximum accountability and transparency.

Corporate Governance is a governance practice/culture to ensure control over the administration and management procedure. This is done through a collection of procedures that are aligned with recognized standards that respond to the interests of shareholders and stakeholders. It ensures fairness, transparency and accountability in the corporate sector and safeguards the interest of all stakeholders as well.

BIFFL is very much cautious about law & regulations imposed time to time by the regulators. A status of Corporate Governance and compliance is given below-

Board of Directors, the highest authority of the organization

The Board of Directors is collectively responsible for governance which includes setting out the Company's strategic aims, providing the necessary leadership to implement such aims, supervising the management of the business and reporting to shareholders on their stewardship. The Board is also responsible to the shareholders for the overall management and performance of the company.

During the year of 2016, 12 nos. of meetings were held by the Board of Directors where presence of the members was almost 90%.

Executive Committee

The matter related to ordinary business operations of the Company and the matters that the Board of Directors authorises from time to time are vested on this Executive Committee (EC). The EC consists of five members.

In 2016, 09 nos. of meetings of the EC were held with more than 90% presence of the members.

Audit Committee

The Audit Committee (AC) is empowered, among other things, to examine any matter relating to the financial affairs of the Company and to review all audit and inspection reports, internal control systems and procedures,

accounting policies and adherence to compliance requirements among others. The AC of BIFFL consists of four members.

In 2016, 03 nos. of meetings of the AC were held with more than 90% presence of the members.

Management Committee

The Management Committee (MANCOM) is a group, elected among the senior management staff to take responsibility of the governance and strategic direction of BIFFL. The Committee is responsible for all aspects of the ongoing operations in line with the various policies and guidelines adopted by the Board. Also, responsible to implement all the decisions as taken by the Board. The MANCOM comprises of-

- **Mr. S.M. Formanul Islam** -Convener
Executive Director and CEO
- **Mr. Md. Sagir Hossain Khan** -Member
Chief Operating Officer
- **Mr. Mohammad M. Khan, ACS** -Member Secretary
Company Secretary & Head of CCU
- **Ms. Mashruna A. Chowdhury, ACA** -Member
Chief Financial Officer
- **Mr. Nisarul Kabir Siddiqui** -Member
Unit Head, Treasury

Generally, the Committee sits once each week to make decision and supervise the regular functions and operation of the organization. 36 nos., meetings were held in the year of 2016 with more than 90% presence of the Members.

Asset Liability Management Committee (ALCO)

In order to manage the Balance Sheet risk especially for meeting of liquidity risk and interest rate risk and assist the Management Committee in the decision-making process, BIFFL management formed an Asset Liability Management Committee (ALCO). The ALCO convene periodical meeting and regularly reviews the decisions of the meeting. The members of the ALCO are:

- **Mr. S.M. Formanul Islam** -Chairman
Executive Director & CEO
- **Mr. Md. Sagir Hossain Khan** -Member
Chief Operating Officer
- **Ms. Mashruna A. Chowdhury, ACA** -Member
Chief Financial Officer

- ▶ **Syed Md. Haseeb** -Member
AVP, Investment
- ▶ **Mr. Md. Sheikh Anowar Sadat** -Member
Unit Head, Large Infrastructure
- ▶ **Mr. Md. Mizanur Rahman** -Member
Unit Head, Credit Administration
- ▶ **Mr. Md. Nisarul Kabir Siddiqui** -Member
Unit Head, Treasury
- ▶ **Mr. Md. Saddam Hossain** -Member
Unit Head, Sustainable Finance
- ▶ **Ms. Rajina Rashid** -Member
Unit Head, Women Entrepreneur Development
- ▶ **Ms. Rabeya Rahman** -Member Secretary
Officer, Treasury

Risk Management Forum

The Risk Management Forum (RMF) was formed in accordance with the Bangladesh Bank's DFIM Circular no. 01 dated April 07, 2013 to introduce proactive risk management procedures in line with the international best practices framework. The forum consists of the following members:

- ▶ **Mr. Md. Sagir Hossain Khan** -Convener
Chief Operating Officer
- ▶ **Mr. Mohammad M. Khan, ACS** -Member
Company Secretary
- ▶ **Ms. Mashruna A. Chowdhury, ACA** -Member
Chief Financial Officer
- ▶ **Mr. Md. Nisarul Kabir Siddiqui** -Member
Unit Head, Treasury
- ▶ **Mr. Sujit Basak** -Member Secretary
Unit Head, Internal Control & Compliance (ICC)
- ▶ **Mr. Mohabul Alam** -Member
Unit Head, IT & MIS

Risk Analysis Unit

Concurrent with the formation of the RMF, the Risk Analysis Unit (RAU) was formed to act as the secretariat of the Risk Management Forum with the responsibility for identifying and analysing various types of risks appropriately and in a timely manner. The RAU of BIFFL consists of the following officials:

- ▶ **Mr. Md. Sheikh Anowar Sadat** -Convener
Unit Head, Large Infrastructure
- ▶ **Mr. Md. Mizanur Rahman** -Member Secretary
Unit Head, Credit Administration

- ▶ **Mr. Md. Saddam Hossain** -Member
Unit Head, Sustainable Finance
- ▶ **Ms. Rajina Rashid** -Member
Unit Head, Women Entrepreneur Development
- ▶ **Ms. Rajia Sultana** -Member
Officer, HR & Administration
- ▶ **Mr. Abdul Monem Chowdhury** -Member
Officer, Credit Administration
- ▶ **Mr. Mokabbir Sarkar** -Member
Officer, Legal

Central Compliance Unit

Pursuant to the directions and guidelines of Bangladesh Bank, BIFFL formed the Central Compliance Unit (CCU). The unit is responsible to monitor, supervise and follow up the entire compliance issues of the organization including the compliance of Anti-Money Laundering (AML) and Terrorist Financing (TF) under the policy of Anti-Money Laundering and Combat Terrorist Financing as approved by the BIFFL Board. The CCU comprises:

- ▶ **Mr. Mohammad M. Khan, ACS** -Head of CCU & CAMLCO
Company Secretary
- ▶ **Mr. Md. Mizanur Rahman** -Member
Unit Head, Credit Administration
- ▶ **Mr. Mohabul Alam** -Member
Unit Head, IT & MIS
- ▶ **Mr. Sujit Basak** -DCAMLCO
Unit Head, ICC
- ▶ **Mr. Mokabbir Sarkar** -Member
Officer, Legal

Integrity and Ethics Committee

BIFFL formed Integrity and Ethics Committee as per the directions and guidelines of Bangladesh Bank to abide by the code of integrity and good governance in line with National Integrity Strategy of Bangladesh. The committee is responsible for development of the integrity and ethical standard among the employees of the organization. The committee comprises of:

- ▶ **Mr. Md. Sagir Hossain Khan** -Chairman
Chief Operating Officer
- ▶ **Mr. Mohammad M. Khan, ACS** -Focal Point
Company Secretary & Head of CCU
- ▶ **Ms. Mashruna A. Chowdhury, ACA** -Member
Chief Financial Officer

- ▶ **Mr. Mohabul Alam** -Member
Unit Head, IT & MIS
- ▶ **Mr. Sujit Basak** -Member Secretary
Unit Head, ICC
- ▶ **Ms. Rajia Sultana** -Member
Officer, HR & Administration

Recruitment Committee

As per instruction of the BIFFL Board and subsequent nomination from the Ministry of Public Administration and Bangladesh Bank, a Committee was formed with the following members:

- ▶ **Mr. A.R.M. Nazmus Sakib** - Convener
Additional Secretary, Finance Division, MoF and Director of BIFFL
- ▶ **Mrs. Ummul Hasna** -Member
Additional Secretary, Ministry of Public Administration
- ▶ **Mr. Md. Faruque Hossain** -Member
Additional Secretary & DG of CPTU
- ▶ **Mr. Md. Shah Alam** -Member
General Manager
Department of Financial Institutions & Markets, Bangladesh Bank
- ▶ **Mr. S.M. Formanul Islam** -Member
Executive Director & CEO, BIFFL

Sustainable Finance Committee

Pursuant to the directions of SFD Circular no. 02, dated 01 December 2016 issued by Bangladesh Bank, BIFFL formed the Sustainable Finance Committee. The committee is responsible for supervising the activities of Sustainable Finance Unit at BIFFL. The committee formed as follows:

- ▶ **Mr. Md. Sagir Hossain Khan** -Chairman
Chief Operating Officer
- ▶ **Mr. Mohammad M. Khan, ACS** -Member
Company Secretary
- ▶ **Ms. Mashruna A. Chowdhury, ACA** -Member
Chief Financial Officer
- ▶ **Mr. Md. Sheikh Anowar Sadat** -Member
Unit Head, Large Infrastructure
- ▶ **Mr. Md. Mizanur Rahman** -Member
Unit Head, Credit Administration
- ▶ **Mr. Mohabul Alam** -Member
Unit Head, IT & MIS
- ▶ **Mr. Sujit Basak** -Member
Unit Head, ICC
- ▶ **Ms. Rajia Sultana** -Member
Officer, HR & Administration
- ▶ **Mr. Md. Saddam Hossain** -Member Secretary
Unit Head, Sustainable Finance



CORPORATE GOVERNANCE COMPLIANCE REPORT ON BSEC'S NOTIFICATION

Status of compliance with the conditions imposed by the Securities and Exchange Commission's notification No. SEC/CMRRCD/2006-158/129/Admin/44 dated August 07, 2012 issued under section 2CC of the Securities and Exchange Ordinance 1969. The status report on compliance with those conditions is furnished below:

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
1	Board of Directors			
1.1	Board's Size:	✓		
1.2	Independent Director:			Appointment of Independent Director is under process
1.2 (i)	One fifth (1/5) of the total number of directors	-	-	"
1.2 (ii) a)	Does not hold any share or holds less than 1% share of the total paid-up shares.	-	-	"
1.2 (ii) b)	Not connected with any sponsor/director/ shareholder who holds 1% or more shares of the total paid-up shares on the basis of family relationship.	-	-	"
1.2 (ii) c)	Does not have any other relationship, whether pecuniary or otherwise, with the company or its subsidiary/associated companies	-	-	"
1.2 (ii) d)	Not a member, director or officer of any stock exchange	-	-	"
1.2 (ii) e)	Not a shareholder, director or officer of any member of stock exchange or an intermediary of the capital market	-	-	"
1.2 (ii) f)	Not a partner or an executive or was not a partner or an executive during the preceding 3 (three) years of any statutory audit firm.	-	-	"
1.2 (ii) g)	Not be an independent director in more than 3 (three) listed companies;	-	-	"

Condition No.	Title	Compliance status		Remarks
1.2 (ii) h)	Not been convicted by a court of competent jurisdiction as a defaulter in payment of any loan to a bank or a NBFIs	-	-	"
1.2 (ii) i)	Not been convicted for a criminal offence involving moral turpitude	-	-	"
1.2 (iii)	Nominated by Board of Directors and approved by the shareholders in the AGM	-	-	"
1.2 (iv)	Not remain vacant for more than 90 (ninety) days.	-	-	"
1.2 (v)	Board shall lay down a code of conduct of all Board members and annual compliance of the code to be recorded.	-	-	"
1.2 (vi)	Tenure of office of an independent director shall be for a period of 3 (three) years, which may be extended for 1 (one) term only.	-	-	"
1.3	Qualification of Independent Directors:			Not applicable
1.3 (i)	Knowledge of Independent Directors	-	-	"
1.3 (ii)	Background of Independent Directors	-	-	"
1.3 (iii)	Special cases for qualifications	-	-	"
1.4	Individual Chairman of the Board & CEO:	✓		
1.5	The Directors Report to Shareholders:			
1.5 (i)	Industry outlook and possible future developments in the industry	✓		
1.5 (ii)	Segment-wise or product-wise performance	✓		
1.5 (iii)	Risks and concerns	✓		
1.5 (iv)	Discussion on Cost of Goods sold, Gross Profit Margin and Net Profit Margin	-	-	Not applicable
1.5 (v)	Discussion on continuity of any Extra-Ordinary gain or loss	✓		
1.5 (vi)	Basis for related party transactions	✓		
1.5 (vii)	Utilization of proceeds from public issues, rights issues and/or through any others	-	-	Not applicable

Condition No.	Title	Compliance status		Remarks
1.5 (viii)	Explanation if the financial results deteriorate after the company goes for IPO, RPO, Rights Offer, Direct Listing	-	-	Not applicable
1.5 (ix)	Explanation about significant variance occurs between Quarterly Financial performance and Annual Financial Statements	-	-	No such event occurred
1.5 (x)	Remuneration to directors including independent directors	✓		
1.5 (xi)	Fairness of Financial Statements	✓		
1.5 (xii)	Proper books of accounts maintained	✓		
1.5 (xiii)	Adoption of appropriate accounting policies and estimates	✓		
1.5 (xiv)	Followed IAS/BAS/IFRS and BFRS in preparation financial statements	✓		
1.5 (xv)	The system of internal control sound in design & effectively implemented & monitored	✓		
1.5 (xvi)	No significant doubt upon its ability to continue as a going concern	✓		
1.5 (xvii)	Reporting of significant deviations from the last year's in operating results	✓		
1.5 (xviii)	Key operating and financial data of at least preceding 5 (five) years	✓		
1.5 (xix)	Dividend declared	✓		
1.5 (xx)	Number of board meeting held & attendance reporting	✓		
1.5 (xxi)	Pattern of shareholding:			
1.5 (xxi) a)	Parent/Subsidiary/Associated Companies and other related parties	-	-	Not applicable
1.5 (xxi) b)	Directors, CEO, CS, CFO, HIA and their spouses and minor children	✓		
1.5 (xxi) c)	Executives	✓		
1.5 (xxi) d)	10% or more voting interest	✓		
1.5 (xxii)	Appointment/re-appointment of director:			
1.5 (xxii) a)	Resume of the director	✓		

Condition No.	Title	Compliance status		Remarks
1.5 (xxii) b)	Expertise in specific functional areas	✓		
1.5 (xxii) c)	Holding of directorship and membership of committees of the board other than this company	✓		
2	Company Secretary (CS), Chief Financial Officer (CFO) and Head of Internal Audit (HIA)			
2.1	Appointment of CS, CFO and HIA:	✓		
2.2	Attendance of CS and CFO at the meeting of the Board of Directors:	✓		CFO attends at the time of relevant agenda/ discussion
3	Audit Committee			
3 (i)	Constitution of Audit Committee	✓		
3 (ii)	Assistance of the Audit Committee to Board of Directors	✓		
3 (iii)	Responsibility of the Audit Committee	✓		
3.1	Composition of Audit Committee:			
3.1 (i)	At least 3 (three) members	✓		
3.1 (ii)	Appointment of members of the Audit Committee	✓		
3.1 (iii)	Qualification of Audit Committee members	✓		
3.1 (iv)	Term of service of Audit Committee members	✓		
3.1 (v)	Secretary of the Audit Committee	✓		Company Secretary acts as the Secretary
3.1 (vi)	Quorum of the Audit Committee	✓		
3.2	Chairman of Audit Committee:			
3.2 (i)	Board of Directors shall select the Chairman	✓		
3.2 (ii)	Chairman of the Audit Committee shall remain present in the AGM	✓		
3.3	Role of the Audit Committee:			
3.3 (i)	Oversee the financial reporting process	✓		

Condition No.	Title	Compliance status		Remarks
3.3 (ii)	Monitor choice of accounting policies and principles	✓		
3.3 (iii)	Monitor Internal Control Risk management process	✓		
3.3 (iv)	Oversee hiring and performance of external auditors	✓		
3.3 (v)	Review the annual financial statements before submission to the Board for approval	✓		
3.3 (vi)	Review the quarterly and half yearly financial statements before submission to the Board for approval	✓		
3.3 (vii)	Review the adequacy of internal audit function	✓		
3.3 (viii)	Review statement of significant related party transactions	✓		
3.3 (ix)	Review Management Letters/ Letter of Internal Control weakness issued by statutory auditors	✓		
3.3 (x)	Disclosure about the uses/applications of funds raised by IPO/RPO/Right issue	-	-	No such events occurred
3.4	Reporting of the Audit Committee:			
3.4.1	Reporting to the Board of Directors:	✓		
3.4.1 (i)	Activities of Audit Committee	✓		
3.4.1 (ii) a)	Conflicts of interest	✓		
3.4.1 (ii) b)	Material defect in the internal control system	✓		
3.4.1 (ii) c)	Infringement of laws, rules and regulations	✓		
3.4.1 (ii) d)	Any other matter	✓		
3.4.2	Reporting to the Authorities	✓		
3.5	Reporting to the Shareholders & General Investors:	✓		
4	Engagement of External/Statutory Auditors			
4 (i)	Appraisal or valuation services or fairness opinions	✓		
4 (ii)	Financial information systems design and implementation	✓		

Condition No.	Title	Compliance status		Remarks
4 (iii)	Book-keeping	✓		
4 (iv)	Broker-dealer services	✓		
4 (v)	Actuarial services	✓		
4 (vi)	Internal audit services	✓		
4 (vii)	Services that the Audit Committee determines	✓		
4 (viii)	Audit firms shall not hold any share of the company they audit	✓		
4 (ix)	Audit firm shall not certify on compliance of corporate governance	✓		
5	Subsidiary Company			Not applicable
5 (i)	Composition of the Board of Directors	-	-	"
5 (ii)	At least 1 (one) independent director to the subsidiary company	-	-	"
5 (iii)	Submission of Minutes to the holding company	-	-	"
5 (iv)	Review of Minutes by the holding company	-	-	"
5 (v)	Review of Financial Statement by the holding company	-	-	"
6	Duties of Chief Executive Officer and Chief Financial Officer			
6 (i) a)	Reviewed the truthfulness of the financial statement and certified to the Board	✓		
6 (i) b)	Reviewed compliance of the accounting standard	✓		
6 (ii)	Reviewed the absence of fraudulent or illegal transactions or violation of the company's code of conduct	✓		
7	Reporting and Compliance of Corporate Governance			
7 (i)	Obtain certificate regarding compliance of conditions of Corporate Governance Guidelines	-	-	Not applicable
7 (ii)	Annexure attached, in the directors' report	-	-	"

BIFFL TEAM





UNITS IN BIFFL

Investment



Finance & Accounts, and Treasury



HR & Administration, and IT



Compliance and Legal



PHOTOGRAPHS OF THE 5TH ANNUAL GENERAL MEETING OF BIFFL



**BIFFL Officials with
the Board**

**CEO of BIFFL
greetings
honourable
Chairman**





বাংলাদেশ ইনফ্রাস্ট্রাকচার ফাইন্যান্স ফান্ড লিমিটেড

BANGLADESH INFRASTRUCTURE FINANCE FUND LIMITED

4, Anjuman Mufidul Islam Road, Kakrail, Dhaka -1000, Bangladesh.

PABX-880-2-8333238-9; FAX-880-2-9348518; WEB: <http://www.biffl.org.bd>

Ref. No- BIFFL/CS-2.2.1/2017

Date: 20 April 2017

NOTICE

The 6th Annual General Meeting

The 6th Annual General Meeting (AGM) of Bangladesh Infrastructure Finance Fund Limited (BIFFL) for the year ended on 31st December 2016 will be held on Monday, 15 May 2017 at 6.30 p.m. at Windy Town (1st floor) at Bangabandhu International Conference Center (BICC), Dhaka to transact the following business:

AGENDA:

- To receive, consider and adopt the audited financial statements for the year ended on 31 December 2016 with the Auditor's Report and the Director's Report;
- To declare the Dividend for the year- 2016;
- To re-elect the Director(s);
- To appoint Auditors for the year 2017 and fix their remuneration.

The shareholders are requested to attend the meeting.

By order of the Board,

Mohammad M. Khan, ACS

Company Secretary

Cell phone no- 01841655302

Email: mohammad.khan@biffl.org.bd

DIRECTORS' REPORT

It is my pleasure and privilege to present the Directors' Report before the shareholders of BIFFL together with audited financial statements for the year ended on 31 December 2016 on behalf of the Board of Directors, This report has been prepared in compliance with section 184 of the Companies Act, 1994, and applicable regulations of Bangladesh Bank, Bangladesh Accounting Standards (BAS) as well as Bangladesh Financial Reporting Standards (BFRS).

Key Strategic Pillar of Business

The importance of infrastructure for sustained economic development and improving the living standard of people is well recognized. However, undeniably, a portion of our people still lack access to electricity, transport, safe drinking water, proper sanitation and communication facilities which prevents the economy from realizing the growth potentials of the country. The main reason for inadequate infrastructure is insufficient investment. The Government of Bangladesh (GoB) has prioritized Public Private Partnership (PPP) program as a key initiative for increasing investment in infrastructure and supporting the realization of vision 2021 as well as Sustainable Development Goals (SDG) 2030.

With a view to promoting an attractive environment for sustainable private investment, the GoB through its national budget of 2009-2010 initiated a new modality introducing the PPP budget to the provisional revenue budget and Annual Development Program (ADP). BIFFL had been formed as a special purpose vehicle to mobilize the PPP budget through financing infrastructure projects along with the private sector. The main objective of BIFFL is to provide predominantly long-term finance through issuance of bonds, debt instruments and equity offering. BIFFL

aims at attracting local and foreign investors and the best companies that are implementing infrastructure projects in Bangladesh.

Compared to the previous years, the year 2016 was a prolific business year for BIFFL. Despite having so many shortcomings and adverse situations, the company continued to expand its investment in diverse sectors. It invested in the power sector, economic zones, connectivity, tourism and hospitality industry, and auto brick projects. As a result, the investment portfolio of the company has multiplied making a positive impact in the infrastructure sector. Recently, BIFFL has adopted its 5-Year Strategic Investment Plan including its investment and fund sourcing ideas for different infrastructure sectors between 2017-2021. According to the plan, as shown in the next page, the projected investment is BDT 13,751 crore by 2021 which will leverage investment in projects worth BDT 67,670 crore. Out of the proposed investment, BDT 6,118 crore would be financed from BIFFL's own sources and rest of the amount from the development agencies as secured / unsecured loans; through issuance of local / foreign currency bonds; through public/private placement of shares; from investment by strategic partner(s); and taking loans from the GoB. Considering the infrastructure funding requirement till 2021, BIFFL's proposal will account for only 2.22%. The proposed investment allocation is 29% for the power sector, 20% for the economic zones, 12% for Green and Renewable projects, 20% for transportation and communication, 8% for tourism infrastructure, 5% for social infrastructure, 2% for women entrepreneurs, and 4% for other infrastructure projects. The process for implementation of the strategic investment plan is ongoing.

5-Year Investment and Funding Plan of BIFFL (BDT in crore)

Investment Year-wise	2017	2018	2019	2020	2021	Total	%
Power & Energy	500.0	625.0	781.3	976.6	1,220.7	4,103.52	30%
Economic Zone	330.0	412.5	515.6	644.5	805.7	2,708.32	20%
Green & Renewable Energy	280.0	350.0	437.5	546.9	683.6	2,297.97	17%
Connectivity	230.0	287.5	359.4	449.2	561.5	1,887.62	14%
Tourism Infrastructure	130.0	162.5	203.1	253.9	317.4	1,066.91	8%
Social Infrastructure	82.0	102.5	128.1	160.2	200.2	672.98	5%
Women Entrepreneur	32.0	40.0	50.0	62.5	78.1	262.63	2%
Others Infrastructure	65.0	81.3	101.6	127.0	158.7	533.46	4%
Total	1,649	2,061	2,577	3,221	4,026	13,533	100%

Sources of Fund	2017	2018	2019	2020	2021	Total	%
Equity	2,000	-	-	-	-	2,000	16%
Retained Earnings	144	251	392	571	796	2,154	17%
Statutory Reserve	116	143	178	223	279	938	7%
Public Issue	-	1,000	-	-	-	1,000	8%
Government Allocation-PPP Projects	-	-	400	400	400	1,200	9%
Development Agencies (Development Loan)	160	640	400	800	800	2,800	22%
Development Agencies (Commercial Loan)	-	-	400	400	400	1,200	9%
Issuance of Bond (Local Currency)	-	-	400	-	400	800	6%
Issuance of Bond (Foreign Currency)	-	-	-	400	400	800	6%
Total	24,193.77	20,339	21,697	23,938	26,756	12,892.46	100%

The World Economy

According to the United Nations World Economic Situation and Prospects (WESP) 2017 report, although a modest global recovery is projected for 2017-18, the world economy has not yet emerged from the period of slow growth, characterized by weak investment, dwindling trade and flagging productivity growth. According to that report, the world economy expanded by just 2.2 % in 2016, the slowest rate of growth since the Great Recession of 2009. World gross product is projected to grow by 2.7 % in 2017 and 2.9 % in 2018, a slight downward revision from the forecasts made in last May.

The moderate improvement expected for 2017/18 is more an indication of economic stabilization than a signal

of a robust and sustained revival of global demand. As commodity prices trend higher, commodity-exporting economies are likely to see some recovery in growth. Developing countries continue to be the main drivers of global growth, accounting for about 60 % of the world's gross product growth in 2016-18. East and South Asia remain the world's most dynamic regions, benefiting from robust domestic demand and supportive macroeconomic policies. The report projects that growth in the developed economies will slightly improve in 2017, but headwinds arising from weak investment and policy uncertainty continue to constrain economic activity.

GDP growth in the least developed countries (LDCs) is projected to remain well below the Sustainable

Development Goals (SDGs) target of at least 7 %. This represents a key issue to address if the SDGs overall are to be attained. The report notes, specifically, that under the current growth trajectory and assuming no decline in income inequality, nearly 35% of the population in LDCs may remain in extreme poverty by 2030.

Economic growth of Bangladesh

The market-based economy of Bangladesh is the 41st largest in the world in nominal terms, and 29th largest by purchasing power parity. It is classified among the Next Eleven emerging market economies and a Frontier market in the world. According to the IMF, Bangladesh's economy is the second fastest growing major economy of 2016, with a rate of 7.1% per annum.

Bangladesh has maintained an impressive track record on growth and development. In the past decade, the economy has grown at nearly 6 % per year, and human development went hand-in-hand with economic growth. Bangladesh aspires to be a middle-income country by 2021. This will require increasing GDP growth to 7.5 to 8 % per year based on accelerated export and remittance growth. Both public and private investment will need to increase as well. Growth will also need to be more inclusive through creation of productive employment opportunities in the domestic economy. To sustain accelerated and inclusive growth, Bangladesh will need to manage the urbanization process more effectively, as well as prepare for adaptation to climate change impacts.

KEY Economic Challenges to Improve in 2017

Key economic challenges to improve in 2017 include, macroeconomic stability, revenue mobilization, reducing energy and infrastructure deficit, financial sector and trade reform, urban management, labor skill development, service sector development, higher education management and quality assurance etc. In spite of the political stability, reducing distortion in environment is also important for a sustainable growth.

Reference:

World's economic situation and prospect (WESP)-2016 report;
Monitory Policy Statement (July-December 2016)
www.worldbank.org/en/country/bangladesh/overview

Operational Performance of BIFFL

The company has completed its financial year-2016 and got the financial transactions audited by the external auditor as per law and regulations.

In 2016, the company earned BDT 61.87 crore after tax and statutory reserve. The accumulated profit after tax stands at BDT 64.80 crore. This growth in income has increased the funding capacity of the organization.

In 2015, the shareholders in the 5th Annual General Meeting approved the Stock Dividend for BDT 70,00,00,000 (70,00,000 shares @ BDT 100 each) and Cash Dividend for BDT 12,00,00,000 were issued and handed over to the Finance Division, Ministry of Finance as Shareholder of the Company. The earlier paid up capital of BDT 1,940 crore has been increased to BDT 2,010 crore in 2016 further widening the capital base of the organization.

For the year 2016, the Board recommended for Stock Dividend of BDT 49,00,00,000 (49,00,000 shares @ BDT 100 each) which would raise the paid-up capital to BDT 2060 crore and Cash Dividend for BDT 15,00,00,000 to the Finance Division.

The summary of financial results of the company for the year ended on 31 December 2016:

Particulars	Notes	Yr. 2015 (crore)	Yr. 2016 (crore)		Changes in %
Net Interest Income	21	16.51	37.64	128%	Loan interest has increased
Interest Income (FDR & SND A/C)	23-24	167.73	105.96	-37%	Interest Income has decreased
Operating Expenses	25-34	4.15	9.06	118%	Operating Expenses has increased
Profit Before Income Tax	35	176.77	138.68	-22%	Income has decreased due to decrease of FDR Interest & lending rate
Provision For Income Tax	36	76.54	61.34	-20%	Decreased
Net Profit After Tax & Provision		100.23	77.34	-23%	Decreased
Earnings Per Share (EPS)	37	Tk. 4.99	Tk. 3.85	-27%	Decreased
Authorized Capital		100,000.00	100,000.00	-	No Change
Paid up Capital	15	1,940.00	2,010.00	4%	Increased
Statutory Reserve	17	108.73	124.20	14%	Increased
Retained Earnings	19	84.92	64.80	-24%	Decreased due to issue of bonus Share from the last year retained earnings
Fixed Assets	9	0.79	29.64	3675%	Increased due to new office space purchase

Status of approval and disbursement of loan at a glance:

SL	Name of Project	Approved Amount (BDT)	Date of Disbursement	Disbursed Amount (BDT)
1	Sinha Peoples Energy Ltd	1,000,000,000	6-Aug-14	993,518,000
2	Regent Energy & Power Ltd	300,000,000	23-Nov-15	300,000,000
3	Bangladesh Petrochemical	225,000,000	-	-
4	ARB Enterprise	6,000,000	2-Mar-15	6,000,000
5	First Dhaka Elevated Expressway	4,000,000,000	10-Dec-15	4,000,000,000
6	Naz Auto Bricks	100,000,000	-	-
7	Bangladesh Economic Zones Authority	3,650,000,000	19-Oct-15	2,920,565,337
8	Impulse Hospital & Research Centre	300,000,000	-	-
9	Imperial Hospital Ltd	500,000,000	-	-
10	Sea Pearl Beach Resort & Spa Ltd	500,000,000	26-Jul-16	500,000,000
11	Makrail Auto Bricks	175,000,000	28-Jun-16	169,800,000
12	Summit Barisal Power Ltd	250,000,000	18-Apr-16	250,000,000
13	Summit Narayaganj Power Ltd	200,000,000	18-Apr-16	200,000,000
14	Bangla Trac Ltd. (CP)	300,000,000	14-Mar-16	300,000,000
15	Max Infrastructure Limited	400,000,000	8-Feb-16	400,000,000
16	Le-Meridian, Dhaka	1,000,000,000		-

17	Bangladesh-India Friendship Power	2,500,000,000		-
18	IDLC Infrastructure & SME Zero Coupon Bond	500,000,000	1-Sep-16	400,000,000
19	Energypac Engineering Limited	500,000,000	18-Oct-16	500,000,000
20	Computer Source Limited	250,000,000	26-Jul-16	250,000,000
22	Bangladesh Technosity Limited	294,400,000		-
23	Asim Auto Bricks Ltd	200,000,000		-
24	First Auto Bricks Limited	100,000,000	20-Mar-17	34,200,000
25	Dharmapur Auto Bricks Limited	200,000,000	15-Mar-17	60,100,000
26	Odyssey Craft (Pvt) Ltd	908,600,000	12-Jan-17	407,000,000
27	Durable Plastic Limited	500,000,000	31-Oct-16	500,000,000
27	Mirsharai Economic Zone	1,000,000,000		-
29	Raj Lanka Power Company Ltd.	500,000,000	19-Apr-17	500,000,000
30	Lanka Bangla Finance Ltd	500,000,000	-	-
31	ANB Auto Bricks Limited	200,000,000	-	-
32	MRD Bricks Limited	100,000,000	-	-
33	Equitable Auto Bricks Limited	200,000,000	-	-
34	Sbarang Economic Zone	450,000,000	-	-
Total		21,809,000,000		12,687,753,415

Status of recovery of loan:

SL	Name of Project	Disbursed	Outstanding	Remarks
1	Sinha Peoples Energy Ltd	993,518,000	-	Paid
2	Regent Energy & Power Ltd	300,000,000	260,700,000	Regular
3	ARB Enterprise	6,000,000	4,176,995	Regular
4	First Dhaka Elevated Expressway Limited	4,000,000,000	3,800,000,000	Regular
5	Bangladesh Economic Zones Authority	2,920,565,337	3,136,362,665	Grace period
6	Sea Pearl Beach Resort & Spa Ltd	500,000,000	529,961,390	Grace period
7	Makrail Auto Bricks	166,370,078	168,825,465	Grace period
8	Summit Barisal Power Ltd	250,000,000	214,285,710	Regular
9	Summit Narayaganj Power Ltd	200,000,000	171,428,570	Regular
10	Bangla Trac Ltd. (CP)	300,000,000	-	Paid
11	Max Infrastructure Limited	400,000,000	-	Paid
12	IDLC Infrastructure & SME Zero Coupon Bond	400,000,000	357,467,866	Regular
13	Energypac Engineering Limited	500,000,000	-	Paid
14	Computer Source Limited	250,000,000	250,000,000	Regular
15	First Auto Bricks Limited	34,200,000	34,757,940	Grace period
16	Dharmapur Auto Bricks Limited	60,100,000	60,671,852	Grace period
17	Odyssey Craft (Pvt) Ltd	407,000,000	413,450,280	Grace period
18	Durable Plastic Limited	500,000,000	500,000,000	Regular
19	Raj Lanka Power Company Ltd	500,000,000	500,000,000	Regular
Total		12,687,753,415	10,402,088,733	

Sources of Fund

The growth of Company's loan portfolio will require alternative sources of fund in the coming years. The organization is in discussion for sourcing additional finance from development partners i.e. JICA, ADB, KfW, World Bank etc. Besides, BIFFL has other options like issuance of bonds as well as shares through capital market for raising fund.

BIFFL is in the process of receiving development support from different development partners as follows:

Energy Efficiency and Conservation Promotion Financing Project

Under the Japanese ODA loan package, dated November 2014 between Japan and GoB, the agreement on Energy Efficiency and Conservation Promotion Financing Project (BD-P90) was signed on 29 June 2016. The Finance Division, Ministry of Finance (MoF), GoB is the executing agency. The total cost of the project will be 13,089 million Japanese Yen, among which 11,988 million JPY will be financed by JICA and 1,102 million JPY will be financed by GOB.

Total loan amount of 9,978 million JPY or approximately USD95 million are equally available to both BIFFL and IDCOL. The Finance Division, MoF has recently executed Subsidiary Loan Agreement with BIFFL and IDCOL in this regard.

BIFFL will receive JPY 574 million or approximately USD5.5 million for consultancy services as grant. This service could be used for 6 years.

GoB/SREDA would bear the costs related to Administrative, VAT, Income tax etc.

Equity Backed Finance (EBF) Component of ODA Loan of JICA

The GoB has decided to establish a separate Special Economic Zone (SEZ) for Japanese investors to boost investment in Bangladesh's transport, infrastructure, power, energy and garment sectors and thereby increase bilateral trade. JICA will act as the development partner of the project. The fund will flow from JICA to GoB. GoB will channel the fund to BIFFL and Bangladesh Economic Zone Authority (BEZA) to form a Special Purpose Company (SPC) in order to implement the Project. BIFFL will utilize the subsidiary loan received from JICA through GoB for issuance

of equity along with Japanese developers and BEZA in the SPC. Japanese investor will invest not less than 51% of the equity portion. Equity portion of BEZA and BIFFL will be around 25% and 24% respectively.

IPFF-II project

Negotiation on the credit agreements under IPFF-II project, being funded by International Development Association (IDA) of the World Bank, and the GoB has been completed on 5 March 2017. The proposed loan amount under IPFF-II is US\$360 million, out of which IDA contribution will be US\$300 million and the rest US\$60 million will be the responsibility of the GoB.

BIFFL is going to be one of the Participating Financial Institutions to implement the project having a unique allocation of US\$30 million for financing through innovative financial instruments.

Human Resources

The BIFFL Board believes and considers human resource as a key driver for the organization. Therefore, the human resources need to be efficient, skilled and competent in achieving objectives of the organization. With that view in mind, the Board has revised the organogram of BIFFL and accorded approval to recruitment of officials in different positions. Subsequently, the recruitment was completed by the recruitment committee in a fair and comprehensive manner with due approval of the Board.

The BIFFL Board and Management also attached importance to continuous development of professional skills, knowledge and expertise of employees through training, exposure and exchange programs.

Policies of BIFFL

Credit Policy

BIFFL formulated its credit policy which is crucial for its proper functioning in its 13th meeting held on 18th September, 2013 and continues to update the policy as and when necessary. The policy identifies specified areas and guidelines for large, medium and small scale investments. It covers credit strategy for investment, eligible criteria for investment, financing limits, security parameters for loans, fees etc. Recently, the policy was revised in the 46th meeting of the BIFFL Board held on January 13, 2017. Major changes include:

- ▶ Rearrangement of sectoral allocation of financing;
- ▶ Product wise allocation for Investment;

- Incorporation of guidelines of Women Entrepreneurs Unit; and
- Revised Security Package.

Core Risk Policies

The Board in its 25th meeting held on May 17, 2015 has approved core risk policies comprising Asset-Liability Management, Internal Control and Compliance Management, Anti Money Laundering and Terrorist Financing Policy and Information and Communication Technology Policy. The policies will be revised as and when required.

Human Resource Policy

BIFFL Management has been working to formulate the Human Resource (HR) Policy for the organization. BIFFL Board has already assigned the Executive Committee to review and examine the policy and advised to place it before the Board for final approval. The Committee has already considered the policy which will be placed before the Board shortly. Pending the approval of HR policy by the Board, BIFFL management deals with the HR functions following the best practice in the industry.

Shareholding Structure

Particulars	Number of shares held as of 31 December					
	2011	2012	2013	2014	2015	2016
Finance Division, Ministry of Finance	159,999,984	159,999,984	159,999,984	159,999,984	193,999,984	200,999,984
Senior Secretary, Finance Division, Ministry of Finance	10	10	10	10	10	10
Senior Secretary, Prime Minister's Office	1	1	1	1	1	1
Secretary, Power Division, Ministry of Power, Energy & Mineral Resources	1	1	1	1	1	1
Secretary, Energy & Mineral Resources Division, Ministry of Power, Energy & Mineral Resources	1	1	1	1	1	1
Secretary, Road Transport & Highways Division, Ministry of Road Transport & Bridges	1	1	1	1	1	1
Secretary, Bridges Division, Ministry of Road Transport & Bridges	1	1	1	1	1	1
Additional Secretary (TDM), Finance Division, Ministry of Finance	1	1	1	1	1	1
Total	160,000,000	160,000,000	160,000,000	160,000,000	194,000,000	201,000,000

Board of Directors

The existing Board of Directors of BIFFL comprises seven government officials from different Ministries of the Government and a fulltime Executive Director & Chief Executive Officer (CEO) appointed from the private sector.

The Board provides the policy supports, decisions and approvals of the Investment / Financing and Management functions of the organization. The CEO is responsible to conduct the day to day business operation of the company and discharge his duties and responsibilities under the supervision and control of the Board.

Change of Directors in 2016-2017 (up to April):

In order of the date of joining:

SL	Name	Designation	Date of 1st Appoint...	Date of Last Appointment / Re Appoint...	Remarks
1	Mr. A.R.M Nazmus Sakib	Director	03-Nov-11	12-Sept-15	Continuing...
2	Khandker Anwarul Islam	Director	15-Dec-11	14-Sept-14	Continuing...
3	Mr. M.A.N. Siddique	Director	15-Dec-11	14-Sep-14	Continuing...
4	Mr. Monowar Islam, ndc	Director	08-May-13	20-Feb-17	Ceased to be Director by re-nomination of the Govt.
5	Mr. Mahbub Ahmed	Chairman	19-Aug-14	12-Sept-15	„
6	The late, Md. Abubakar Siddique	Director	19-Aug-14	14-Jan-16	„
7	Ms. Suraiya Begum, ndc	Director	11-Apr-15	11-Apr-15	Continuing...
8	Mr. Nazimuddin Chowdhury	Director	14-Jan-16	14-Jan-16	Continuing...
9	Dr. Ahmad Kaikaus	Director	20- Feb-17	20-Feb-17	Govt. nominated and appointed
10	Mr. Hedayetullah Al Mamoon, ndc	Chairman	02-Mar-17	02-Mar-17	„

Board Meeting and Attendance

In 2016, 12 nos., of Board Meetings were held. The attendances of the meeting are as follows:

Directors	No. of Meeting	No. of attendance	% of presence	No. of absence	Absence in meeting of
Mr. Mahbub Ahmed	12	12	100%	0	-
Ms. Suraiya Begum, ndc	12	11	92%	1	The 42 nd meeting
Mr. Monowar Islam, ndc	12	9	75%	3	The 34 th , 38 th & 43 rd meeting
Mr. M.A.N. Siddique	12	10	83%	2	The 34 th & 44 th meeting
Khandker Anwarul Islam	12	11	92%	1	The 44 th meeting
The late, Md. Abubakar Siddique	1	-	100%	1	The 34 th meeting
Mr. Nazimuddin Chowdhury	12	12	100%	0	-
Mr. A.R.M. Nazmus Sakib	12	11	92%	1	The 37 th meeting
Mr. S.M. Formanul Islam	12	12	100%	0	-

Attendance in meeting during the year of 2017 (as of April 2017):

Directors	No. of Meeting	No. of attendance	% of presence	No. of absence	Absence in meeting of
Mr. Mahbub Ahmed	5	5	100%	0	-
Mr. Hedayetullah Al Mamoon, ndc	2	2	100%		-
Ms. Suraiya Begum, ndc	6	6	100%	0	-
Mr. Monowar Islam, ndc	4	0	-	4	The 46 th -49 th meeting
Dr. Ahmad Kaikaus	3	3	100%	0	-
Mr. M.A.N. Siddique	6	6	100%	0	-
Khandker Anwarul Islam	6	6	100%	0	-
Mr. Nazimuddin Chowdhury	6	6	100%	0	-
Mr. A.R.M. Nazmus Sakib	6	6	100%	0	-
Mr. S.M. Formanul Islam	6	6	100%	0	-

Directors Rotation in the 6th Annual General Meeting:

In order of the date of nomination / re-election

Sl	Name of Director	Designation	Date of nomination / re-election
1	Ms. Suraiya Begum, ndc	Director	11-Apr-15
2	Mr. A.R.M. Nazmus Sakib	Director	12-Sep-15
3	Khandker Anwarul Islam	Director	07-Sep-16

Board Committees

The Board of Directors constituted two committees i.e. the Executive Committee and Audit Committee as sub-committees of the Board consisting different Board members vide Board Meeting dated 19 August, 2014. The Board also took note of formation of different committees like Management Committee, Risk Management Forum, Core Risk Committee, Purchase Committee, Tender Evaluation Committee etc.

Appointment of External Auditors

The Shareholders in its 5th Annual General Meeting (AGM) held on 7 September 2016 re-appointed M/S. S. F. Ahmed & Co., (SFACO) Chartered Accountants for the year-2016. Accordingly, they have completed the audit and submitted the audited accounts and management report for the year 2016. SFACO will retire in the upcoming 6th AGM. They were appointed as auditor for the last 3 years i.e. 2014, 2015, 2016.

As per direction of Bangladesh Bank (BB), DFIM Circular No. 04, dated 03 April 2015, an audit firm can be appointed for maximum three (03) consecutive years.

To comply with the BB direction, BIFFL management invited

10 nos., of Chartered Accountants Firms considering the list of auditors prescribed by Bangladesh Bank. Out of them, 6 nos. of firms submitted their Expression of Interest (EOI). The Audit Committee of BIFFL examined the EOIs and placed the comparative statement before the Board of Directors in its 53rd meeting. The Board in its 53rd meeting held on 13 May 2017 recommended to appoint M/S. Syful Shamsul Alam & Co., Chartered Accountants firm as the Auditor for the year-2017 till the completion of 7th Annual General Meeting, and placed the proposal before the 6th Annual General Meeting for approval of appointment with remuneration of Tk. 100,000 (excluding VAT).

Regulatory Compliance

BIFFL has complied with all rules and regulations of the regulators such as RJSC, Bangladesh Bank, Bangladesh Securities and Exchange Commission, etc. during the year-2016.

Corporate Governance

BIFFL has been trying to follow the best corporate governance principles in every aspect of its operations. Besides, the Board places special emphasis on ensuring transparency and accountability. A separate detailed report on Corporate Governance is included as part of the Annual Report.

Dividend Declaration

According to the Audited Financial Statement-2016, the retained earnings / accumulated profit is BDT 64.80 crore. Subject to shareholder's approval in the 6th AGM, the Board in its 53rd Meeting held on 13 May 2017 recommended the dividend for the year-2016 to the Government i.e. Finance Division, Ministry of Finance, as follows:

- ▶ Stock Dividend for BDT 49.00 crore, and
- ▶ Cash Dividend for BDT 15.00 crore to the Government (Finance Division) against the shareholdings;
- ▶ The Balance Amount of BDT 0.80 crore to be carried forward in the following year.

Under section 184 of the Companies Act 1994 and BSEC Corporate Governance Guide lines -Condition 1.5

We Report that:

- ▶ The Financial Statements prepared by the Management of the company presents the Company's State of Affairs, Cash Flows and Changes in Equity;
- ▶ Proper Books of Accounts of the Company are maintained;
- ▶ Appropriate Accounting Policies have been consistently applied in preparation of the Financial Statements and the accounting estimates are based on the reasonable and prudent judgment;
- ▶ International Accounting Standard (IAS), as applicable in Bangladesh, has been followed in preparation of the Financial Statements and any departure there has been adequately disclosed;
- ▶ The system of financial control is sound in design and has been effectively implemented and monitored;
- ▶ There is no significant doubt upon the company's ability to continue as a Going Concern;
- ▶ The key operating and financial data for the last 5-year

at a glance is given.

- ▶ The Board has recommended dividend for the year-2015;
- ▶ During the year of 2016, 12 nos. of Meetings were held and the Directors have served the Board with their position;
- ▶ The pattern of shareholding of BIFFL is fully government owned as on 31st Dec 2016.

Acknowledgement

The Board of Directors of BIFFL takes this opportunity of expressing its heartiest appreciation and gratitude to the valued shareholders, borrowers and other stakeholders including the regulatory bodies, auditors, bankers, employees and business associates for their continued support and immense cooperation towards the success of the Company. The Board also expresses its deep gratitude to Bangladesh Bank, Bangladesh Securities and Exchange Commission, Registrar of Joint Stock Companies and Firms, National Board of Revenue and other regulatory bodies for their valuable guidance and advice being extended to the Company from time to time. The Board also thanks M/s S.F. Ahmed, the Auditors of the company for the year-2016 for their effort for timely completion of Audit.

The Board believes that BIFFL will be able to play a significant role in the country's economy by contributing in infrastructure development through sustainable financing.

For and on behalf of the Board of Directors,



Hedayetullah Al Mamoon
Chairman



AUDITORS' REPORT

**Auditor's Report and Financial Statements
as at and for the year ended on 31 December 2016**

INDEPENDENT AUDITORS' REPORT

To The Shareholders of Bangladesh Infrastructure Finance Fund Limited (BIFFL)

Report on the Financial Statements

We have audited the accompanying financial statements of Bangladesh Infrastructure Finance Fund Limited (BIFFL) which comprise the Balance Sheet as at 31 December 2016 and the Profit & Loss Account, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements of the company in accordance with Bangladesh Financial Reporting Standards (BFRS), Financial Institutions Act 1993, the rules and regulations issued by the Bangladesh Bank, the Companies Act 1994, the Securities and Exchanges Rules 1987 and other applicable laws and regulations. This responsibility includes designing, implementing, and maintaining internal control relevant to the preparation and fair presentation of these financial statement of the company that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditors' Responsibility

Our responsibility is to express an opinion on the financial statements of the company based on our audit. We conducted our audit in accordance with Bangladesh Standards on Auditing (BSA). Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements of the company are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements of the company. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the company, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements of the company in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements of the company.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion:

In our opinion, the financial statements of the company prepared in accordance with Bangladesh Financial Reporting Standards (BFRSs), give a true and fair view of the state of the Financial Position of the company as at 31 December 2016 and of the results of its financial performance and statement of cash flows for the year then ended and comply with the Financial Institutions Act 1993, The Companies Act 1994, the rules and regulations issued by the Bangladesh Bank, the Securities and Exchanges Rules 1987 and other applicable laws and regulations.



Report on Other Legal and Regulatory Requirements:

In accordance with companies Act 1994, Securities and Exchange Rules 1987, the Financial Institutions Act 1993 as amended in 2013 and the rules and regulations issued by Bangladesh Bank, we also report the following:

- (i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit and made due verification thereof;
- (ii) in our opinion, proper books of account as required by law have been kept by the Company so far as it appeared from our examination of those books;
- (iii) the Balance Sheet and Profit and Loss Account together with the annexed notes 1 to 45 dealt with by the report are in agreement with the books of account and returns;
- (iv) the expenditure incurred was for the purpose of the company business;
- (v) the financial position of the company as at 31 December 2016 and the profit for the year then ended have been properly reflected in the financial statements and the financial statements have been drawn up in conformity with the Financial Institutions Act, 1993 and in accordance with the accounting rules and regulations issued by the Bangladesh Bank;
- (vi) the financial statements conform to the prescribed standards set in the accounting regulations issued by the Bangladesh Bank after consultation with the professional accounting bodies of Bangladesh;
- (vii) adequate provisions have been made for advances and other assets which are, in our opinion doubtful of recovery;
- (viii) the internal control and the compliance of the Company is satisfactory, and effective measures have been taken to prevent possible fraud, forgery and internal policies are being followed appropriately;
- (ix) the information and explanations required by us have been received and found satisfactory;
- (x) the BIFFL has no branches;
- (xi) 80% of the risk-weighted assets have been audited;
- (xii) we have spent approximately 630 man hours for the audit of books & accounts of BIFFL.



Dated, Dhaka;
13 May 2017

S. F. Ahmed & Co.

S. F. Ahmed & Co.
Chartered Accountants

Bangladesh Infrastructure Finance Fund Ltd.

Balance Sheet

As at 31 December 2016

	Notes	Amount in Taka	
		2016	2015
PROPERTY AND ASSETS			
Cash	3	58,603,882	53,013,458
In hand (including foreign currencies)		478,374	13,458
Balance with Bangladesh Bank and its agents (including foreign currencies)		58,125,508	53,000,000
Balance with other banks and financial institutions	4	11,353,250,610	17,593,346,444
In Bangladesh		11,353,250,610	17,593,346,444
Outside Bangladesh		-	-
Money at call and short notice	5	-	-
Investments	6	2,505,544,789	-
Government		-	-
Others		2,505,544,789	-
Leases, loans and advances	7	7,790,365,136	4,358,268,450
Bills Purchased and discounted	8	-	-
Fixed assets including premises, furniture and fixtures	9	296,379,847	7,852,057
Other assets	10	2,426,109,706	2,983,794,652
Non-business assets	11	-	-
Total assets		24,430,253,970	24,996,275,061
LIABILITIES AND CAPITAL			
Liabilities			
Borrowings from banks, other financial institutions and agents	12	4,385,528	748,116,949
Deposits and other accounts	13	-	-
Current deposits		-	-
Bills payable		-	-
Savings deposits		-	-
Term deposits		-	-
Bearer certificate of deposit		-	-
Other deposits		-	-
Other liabilities	14	2,435,832,316	2,911,536,983
Total Liabilities		2,440,217,844	3,659,653,932
Capital / Shareholders' Equity		21,990,036,126	21,336,621,129
Paid up capital	15	20,100,000,000	19,400,000,000
Share premium	16	-	-
Statutory reserve	17	1,242,007,225	1,087,324,226
Other reserve	18	-	-
Retained earnings	19	648,028,901	849,296,903
Total liabilities and Shareholders' equity		24,430,253,970	24,996,275,061

Notes	Amount in Taka	
	2016	2015

OFF-BALANCE SHEET ITEMS :

Contingent liabilities

Acceptances and endorsements
Letter of guarantee
Irrevocable letter of credit
Bills for collection
Other contingent liabilities

-	-
-	-
-	-
-	-
-	-
-	-

Other commitments

Documentary credits and short term trade and related transactions
Forward assets purchased and forward deposits placed
Undrawn note issuance and revolving underwriting facilities
Undrawn formal standby facilities, credit lines and other commitments
Others

-	-
-	-
-	-
-	-
-	-
-	-

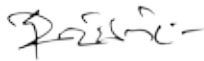
Total off-balance sheet items including contingent liabilities

-	-
-	-

The annexed notes form an integral part of these financial statements.



Company Secretary



Executive Director & CEO



Director



Chairman

Signed in terms of our separate report of even date annexed.



Dated, Dhaka
13 May 2017



S. F. Ahmed & Co.
Chartered Accountants

Bangladesh Infrastructure Finance Fund Limited

Profit and Loss Account

For the year ended 31 December 2016

	Notes	Amount in Taka	
		2016	2015
Interest income from leases, loans and advances	21	412,661,561	188,049,291
Interest expenses on borrowings, deposits, etc	22	36,272,212	22,909,751
Net interest income		376,389,349	165,139,540
Investment income	23	111,305,553	-
Commission, exchange and brokerage		-	-
Other operating income	24	1,059,607,290	1,677,323,789
Total operating income		1,547,302,192	1,842,463,329
Salary and allowances	25	25,482,859	13,944,949
Rent, taxes, insurance, electricity, etc.	26	7,162,062	4,224,990
Legal expenses	27	2,691,756	1,112,807
Postage, stamp, telecommunication, etc.	28	2,117,637	274,763
Stationery, printing, advertisements, etc.	29	10,523,212	3,416,927
Managing Director's salary and allowances	30	9,083,160	5,593,211
Directors' fees	31	1,286,705	619,957
Audit fees	32	104,200	69,000
Depreciation and repairs of company's assets	33	25,582,091	5,494,391
Other operating expenses	34	16,538,115	6,744,149
Total operating expenses		100,571,797	41,495,144
Profit before provision		1,446,730,395	1,800,968,185
Provision for leases, loans and advances	35	59,936,697	33,250,490
Total provision		59,936,697	33,250,490
Total profit before income tax		1,386,793,698	1,767,717,695
Provision for income tax	36	613,378,700	765,354,655
Net profit after Tax & Provision		773,414,997	1,002,363,040
Appropriations:			-
Statutory reserve	17	154,682,999	200,472,608
Retained surplus		618,731,998	801,890,432
Earnings per share (Restated)	37	3.85	4.99

The annexed notes form an integral part of these financial statements.


Company Secretary


Executive Director & CEO


Director


Chairman

Signed in terms of our separate report of even date annexed.



Dated, Dhaka
13 May 2017


S. F. Ahmed & Co.
Chartered Accountants

Bangladesh Infrastructure Finance Fund Limited

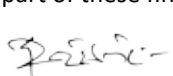
Statement of Cash Flows

For the year ended 31 December 2016

	Amount in Taka	
	2016	2015
A. CASH FLOW FROM OPERATING ACTIVITIES:		
Interest receipts in cash	412,661,561	188,049,291
Interest payments in cash	(36,272,212)	(22,909,751)
Dividend receipts in cash	20,015,625	-
Interest receipts in cash from CP	28,437,500	-
Cash payments to employees	(33,482,961)	(21,619,774)
Cash payments to suppliers	(19,802,911)	(3,416,927)
Income taxes paid	(816,773,044)	(1,468,902,697)
Receipts from other operating activities	1,059,607,290	1,850,336,357
Payments for other operating activities	(27,274,103)	(16,280,175)
Cash generated from operating activities	587,116,746	505,256,324
Increase/(decrease) in operating assets and liabilities,		
Statutory deposits		
Loans and advances to other banks	-	-
Loans and advances to other customers	(3,432,096,686)	(3,325,204,258)
Other assets	149,655,700	(130,894,754)
Borrowings from Banks, other FIs & agents	(743,731,421)	748,116,949
Other liabilities	62,828	1,109,721
	(4,026,109,580)	(2,706,872,342)
Net Cash Flow/(Used) in Operating Activities	(3,438,992,834)	(2,201,616,018)
B. CASH FLOW FROM INVESTING ACTIVITIES:		
Purchase of property, plant and equipment	(169,967,787)	(3,187,562)
Investment/Proceed from securities	(2,505,544,789)	-
Net Cash Flow/(Used) in Investing Activities	(2,675,512,576)	(3,187,562)
C. CASH FLOW FROM FINANCING ACTIVITIES:		
Dividend paid	(120,000,000)	(100,000,000)
Issuance of shares	-	-
Net cash Flow/(Used) in Financing Activities	(120,000,000)	(100,000,000)
D. Net increase/(decrease) in cash and cash equivalents (A+B+C)	(6,234,505,410)	(2,304,803,580)
E. Effects of exchange rate changes on cash and cash equivalents	-	-
F. Cash and cash equivalents at beginning of the year	17,646,359,902	19,951,163,482
G. Cash and cash equivalents at end of the year (D+E+F)	11,411,854,492	17,646,359,902
Cash and cash equivalents		
Cash in hand	478,374	13,458
Balance with Bangladesh Bank and its agents bank(s)	58,125,508	53,000,000
Balance with other banks and financial institutions	11,353,250,610	17,593,346,444
Money at call and short notice	-	-
	11,411,854,492	17,646,359,902

The annexed notes form an integral part of these financial statements.


Company Secretary


Executive Director & CEO


Director


Chairman



Bangladesh Infrastructure Finance Fund Limited

Statement of Changes in Equity

For the year ended 31 December 2016

Amount in Taka

Particulars	Paid-up Capital	Statutory Reserve	Retained Earnings	Total
Balance as on 1 January, 2015	16,000,000,000	886,851,618	3,547,406,471	20,434,258,089
Net profit for the year	-	-	1,002,363,040	1,002,363,040
Dividend paid	-	-	(100,000,000)	(100,000,000)
Issue of share capital	3,400,000,000	-	(3,400,000,000)	-
Appropriations made during the year	-	200,472,608	(200,472,608)	-
Balance as on 31 December 2015	19,400,000,000	1,087,324,226	849,296,903	21,336,621,129
Balance as on 1 January, 2016	19,400,000,000	1,087,324,226	849,296,903	21,336,621,129
Net profit for the year	-	-	773,414,997	773,414,997
Dividend paid	-	-	(120,000,000)	(120,000,000)
Issue of share capital	700,000,000	-	(700,000,000)	-
Appropriations made during the year	-	154,682,999	(154,682,999)	-
Balance as on 31 December 2016	20,100,000,000	1,242,007,225	648,028,901	21,990,036,126

The annexed notes form an integral part of these financial statements.



Company Secretary



Executive Director & CEO



Director



Chairman



Bangladesh Infrastructure Finance Fund Ltd.

Liquidity Statement

Asset and Liability Maturity Analysis

as at 31 December 2016

Amount in Taka

Particulars	Not more than 1 month term	1 to 3 months	3 to 12 months	1 to 5 years	More than 5 years	Total
Assets						
Cash in hand (including balance with Bangladesh Bank and its agents)	478,374	-	-	-	58,125,508	58,603,882
Balance with other banks and financial institutions	39,650,043	8,485,200,425	2,828,400,142	-	-	11,353,250,610
Money at call on short notice	-	-	-	-	-	-
Investment	-	-	2,055,544,789	-	450,000,000	2,505,544,789
Loans and advances	-	1,012,747,468	2,492,916,844	2,726,627,798	1,558,073,027	7,790,365,136
Fixed assets including land, buildings, furniture and fixtures	-	-	44,456,977	251,922,870	-	296,379,847
Other assets	70,846,831	25,283,665	1,819,582,280	510,396,931	-	2,426,109,706
Non banking assets	-	-	-	-	-	-
Total property & assets	110,975,248	9,523,231,558	9,240,901,031	3,488,947,598	2,066,198,535	24,430,253,970
Liabilities						
Borrowing from Bangladesh Bank, other banks, financial institutions and agents	-	-	-	4,385,528	-	4,385,528
Deposits	-	-	-	-	-	-
Other accounts	-	-	-	-	-	-
Provision and other liabilities	6,259,343	730,749,695	633,316,402	1,065,506,876	-	2,435,832,316
Total liabilities	6,259,343	730,749,695	633,316,402	1,069,892,404	-	2,440,217,844
Net liquidity (gap)/excess	104,715,905	8,792,481,863	8,607,584,629	2,419,055,194	2,066,198,535	21,990,036,126


Company Secretary


Executive Director & CEO


Director


Chairman



Bangladesh Infrastructure Finance Fund Limited

Notes to the Financial Statements For the year ended December 31, 2016

1.0 Reporting entity

1.01 Company's profile

Bangladesh Infrastructure Finance Fund Limited (BIFFL) started its journey as a Public Limited Company on 21 March 2011, registered under Company's Act, 1994 (ACT XVIII of 1994). The Authorized Share Capital of the Company is BDT 100.00 (One hundred) billion divided into 1 (one) billion shares of BDT 100.00 each and the Subscribed Share Capital or Paid-up Capital is BDT 19.40 billion. Certificate of Incorporation was issued by the Registrar of Joint Stock Companies and Firms (RJSC). The business of the Company had commenced from the same date and the Certificate of Commencement of Business was also issued by RJSC. BIFFL has also received license from Bangladesh Bank on 16 October 2011 to operate as a Non-Bank Financial Institution under the Financial Institutions Act, 1993.

Presently, the company has an 8-member Board of Directors. The overall Policy decisions of the Company are vested with the Board of Directors. The Board of Directors of BIFFL includes Secretary, Prime Minister's Office; Secretary, Power Division, MoPEMR; Secretary, Energy & Mineral Resources Division, MoPEMR; Secretary, Road's Division, MoC; Secretary, Bridges Division, MoC; and Additional Secretary, Finance Division, MoF. Secretary, Finance Division, Ministry of Finance is the Chairman of the Board and Executive Director & CEO is an Ex-officer Member.

1.02 Nature of business of the company

The Government of Bangladesh has prioritized PPP program as a key initiative for increasing the investment in infrastructure. In order to create an enabling environment for attracting private investments on a sustainable basis, the Government of Bangladesh (GoB) has also provided keen interest and attention to promote PPP in the country and also taken a series of important measures. As part of it, GoB has established BIFFL under Ministry of Finance (MoF) as a Special Purpose Vehicle (SPV) for financing infrastructure projects in Bangladesh. BIFFL has been designed to serve as conduit for mobilizing domestic and foreign private resources along with the public fund through Private-Public

Partnership, popularly known in its short form as 'PPP'. The main objective of BIFFL is to provide predominantly long-term financing for Infrastructure projects through issuance of bonds and debt instruments and equity offerings. BIFFL envisages attracting private investments from local & foreign investors and to invest companies that are implementing infrastructure projects in Bangladesh.

The main goals of the company are to provide long-term capital to critical infrastructure projects in Bangladesh, with a focus on promoting the evolving PPP program; to catalyze co-financing from private capital sources through the comfort of a professional domestic fund entity's presence in an investment; to provide a unique vehicle for capital markets development, by providing a number of avenues to capture domestic and foreign investment within the contexts of a robustly designed and well-governed investment vehicle; and to overcome current limitations on capital markets oversight and governance by creating a self-sustaining 'regulation-by-contract' structure.

BIFFL promotes, encourages and finance private sector investment in all critical infrastructure sectors, but not limited to the Power and Energy, Natural Resource Development, Fertilizer, Transportation System, Port Development, Air & Railway Transportation Projects, Tourism Infrastructure, Telecommunication System, Utility & Environment Management, Green & Renewable Energy Efficient Projects, Social and Industrial Infrastructure Projects, Poverty Alleviation Projects, and Urban & Rural Development Projects.

2.0. Significant accounting policies and basis of preparation of financial statements

2.01 Basis of preparation

The Financial Statements have been prepared on the basis of going concern concept and basically on accrual method under historical cost convention in accordance with Generally Accepted Accounting Principles (GAAP) and after due compliance with International Accounting Standards (IAS)/International Financial Reporting Standards (IFRS) so far adopted in Bangladesh as Bangladesh



Accounting Standards (BAS)/ Bangladesh Financial Reporting Standards (BFRS) by the Institute of Chartered Accountants of Bangladesh, the Financial Institution Act 1993, the Companies Act 1994 and other applicable laws and regulations.

Statement of compliance

The financial statements of the company have been prepared in accordance with IFRS as adopted by the ICAB and as per the requirements of DFIM circular No. 11 dated December 23, 2009 issued by the Department of Financial Institution and Markets of Bangladesh bank.

The financial institution has departed from those contradictory requirements of BFRSs in order to comply with the rules and regulations of Bangladesh Bank which are disclosed below:

2.01.01 Investments in shares and securities

BFRS:

As per requirements of BAS 39 'Financial Instruments: Recognition and Measurement' investments in shares and securities generally falls either under "at fair value through Profit and Loss Account" or under "available for sale" where any change in the fair value at the year-end is taken to Profit and Loss Account or Revaluation Reserve Account respectively.

Bangladesh Bank:

As per FID circular No. 08 dated 03 August 2002 of Bangladesh Bank investments in quoted shares and unquoted shares are revalued at the year end at market price and as per book value of last audited statements of financial position (balance sheet) respectively. Provision should be made for any loss arising from diminution in value of investments.

2.01.02 Provision on loans and advances

BFRS:

As per BAS 39 an entity should start the impairment assessment by considering whether objective evidence of impairment exists for financial assets that are individually significant. For financial assets which are not individually significant, the assessment can be performed on an individual or collective (portfolio) basis.

Bangladesh Bank:

As per FID circular No. 08 dated 03 August 2002, FID circular No. 03, dated 03 May 2006 and FID circular No. 03, dated 29 April 2013 a general provision at 0.25% to 5% under different categories of unclassified loans (good/standard loans) has to be maintained.

2.01.03 Financial instruments - presentation and disclosure

In several cases Bangladesh Bank guidelines categories, recognise, measure and present financial instruments differently from those prescribed in BAS 39. As such some disclosure and presentation requirements of BFRS 7 'Financial Instruments: Disclosures' and BAS 32 'Financial Instruments: Presentation' cannot be made in the accounts.

2.01.04 Financial guarantees

BFRS:

As per BAS 39 financial guarantees are contracts that require an entity to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the terms of a debt instrument. Financial guarantee liabilities are recognised initially at their fair value, and the initial fair value is amortised over the life of the financial guarantee. The financial guarantee liability is subsequently carried at the higher of this amortised amount and the present value of any expected payment when a payment under the guarantee has become probable. Financial guarantees are included within other liabilities.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, financial guarantees such as L/C, L/G will be treated as off balance sheet items. No liability is recognised for the guarantee except the cash margin.

2.01.05 Cash and cash equivalents

BFRS:

Cash and cash equivalents items should be reported as cash item as per BAS 7 'Statement of Cash Flows'.

Bangladesh Bank:

Some cash and cash equivalent items such as 'money at call and on short notice', T-bills, Prize bond are not shown as cash and cash equivalent. Money at call and on short notice



is shown as face item in statement of financial position and T-bills, Prize bonds are shown in Investment.

2.01.06 Non business assets

BFRS:

No indication of non-business assets is found in any BFRSs.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, there must exist a face item named Non-business asset.

2.01.07 Statement of cash flows

BFRS:

Cash flow statement can be prepared either in direct method or in indirect method. The presentation is selected to present these cash flows in a manner that is most appropriate for the business or industry. The method selected is applied consistently.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, statement of cash flows is a mixture of direct and indirect method.

2.01.08 Balance with Bangladesh Bank (CRR)

BFRS:

Balance with Bangladesh Bank should be treated as other assets as it is not available for use in day to day operations as per BAS 7.

Bangladesh Bank:

Balance with Bangladesh Bank is treated as cash and cash equivalents.

2.01.09 Off balance sheet items

BFRS:

There is no concept of off balance sheet items in any BFRS; hence there is no requirement of disclosure to off balance sheet items.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, off balance sheet items e.g. L/C, L/G must be disclosed separately in the face of the statement financial position (balance sheet).

2.01.10 Disclosure of appropriation of profit

BFRS:

There is no requirement to show appropriation of profit in the face of the statement of comprehensive income.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, an appropriation of profit should be disclosed in the face of statement of comprehensive income.

2.01.11 Other comprehensive income

BFRS:

As per BAS 1 'Presentation of Financial Statements', Other Comprehensive Income is a component of financial statements or the elements of Other Comprehensive Income are to be included in a Single Comprehensive Income (OCI) Statement.

Bangladesh Bank:

Bangladesh Bank has issued templates for financial statements which will strictly be followed by all financial institutions. The templates of financial statements issued by Bangladesh Bank do not include Other Comprehensive Income; and the elements of Other Comprehensive Income are also not allowed to be included in a single Other Comprehensive Income (OCI) Statement. As such the company does not prepare the Other Statement of Comprehensive Income. However elements of OCI, if any, are shown in the statement of changes in equity.

2.01.12 Loans and advance net of provision

BFRS:

Loans and advances should be presented as net of provisions.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, provision on loans and advances are presented separately as liability and cannot be netted off against loans and advances.

2.02 Integral components of financial statements

The Financial Statements of the Company include the following components:

- Statement of financial position (Balance Sheet) as at 31



December, 2016.

- ▶ Statement of comprehensive income (Profit and Loss A/C) for the year ended 31 December, 2016.
- ▶ Statement of Cash Flows for the year ended 31 December, 2016.
- ▶ Statement of Changes in Equity for the year ended 31 December, 2016.
- ▶ Liquidity Statement as at 31 December, 2016.
- ▶ Notes to the Financial Statements.

2.03 Use of estimate & judgments

The preparation of the financial statements of the company in conformity with Bangladesh Bank Circulars and BFRSs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amount of assets, liabilities, income and expenses. Actual result may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future period affected.

The most significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect on the amounts recognised in the Financial Statements of the company are as follows:

2.03.01 Going Concern

The Directors have made an assessment of the company's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, Board is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the company. Therefore, the Financial Statements continue to be prepared on the going concern basis.

2.03.02 Impairment Losses on Loans and Advances

The company review their individually significant loans and advances at each reporting date to assess whether an impairment loss should be recorded in the Income Statement. In particular, Management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance made. Loans and

advances that have been assessed individually and found to be not impaired and all individually insignificant loans and advances are then assessed collectively, by categorising them into groups of assets with similar risk characteristics, to determine whether a provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident. The collective assessment takes account of data from the loan portfolio (such as levels of arrears, credit utilisation, loan-to-collateral ratios etc.) and judgment on the effect of concentrations of risks and economic data (including levels of unemployment, inflation, interest rates, exchange rates, sovereign rating etc.).

2.03.03 Impairment of Available for Sale Investments

The company review their debt securities classified as available for sale investments at each reporting date to assess whether they are impaired. This requires similar judgments as applied on the individual assessment of loans and advances. The company also record impairment charges on available for sale equity investments when there has been a significant or prolonged decline in the fair value below their cost.

2.03.04 Deferred Tax Assets

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profits will be available against which such tax losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with the future tax-planning strategies.

2.03.05 Fair Value of Property, Plant and Equipment

The Land and Buildings of the company are reflected at fair value. The company engaged independent valuation specialist to determine fair value of land and building. When current market prices of similar assets are available, such evidence is considered in estimating fair values of these assets.

2.03.06 Useful Life-time of the Property, Plant and Equipment

The company review the residual values, useful lives and methods of depreciation of Property, Plant and Equipment at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods



and hence they are subject to uncertainty.

2.03.07 Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities. Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote.

2.04 Statement of cash flows

The cash flow statement has been prepared using the Direct Method as mention in line with Bangladesh Accounting standard 7 'Statement of cash flows'.

2.05 Consistency

In accordance with the IFRS framework for the presentation of Financial Statements together with Bangladesh Accounting Standard 1 'Presentation of Financial Statements' and Bangladesh Accounting Standard 8 'Accounting Policies, Changes in Accounting Estimates and Errors', BIFFL Ltd. applies the accounting disclosure principles consistently from one period to the next.

2.06 Reporting period

These financial Statements cover one calendar year from 01 January 2016 to 31 December 2016.

2.07 Presentation and functional currencies

The figures of the financial statements are presented in Bangladeshi currency (BDT) which is company's functional currency and have been rounded off to the nearest integer.

2.08 Assets and basis of their valuation

2.08.01 Cash and cash equivalents

Cash and cash equivalents include notes and coins on hand, unrestricted balances held with Bangladesh Bank highly liquid financial assets.

2.08.02 Investment in securities

Investment in marketable ordinary shares as well as investment in non-marketable shares have been shown at cost. Full provision for diminution in value of shares has been made as per Bangladesh Bank guidelines. Market value of securities has been determined on the basis of the value of securities at the last trading day of the period (last trading day for the year was 30 December, 2016).

Unrealized gain on investment was not recognized as income in the financial statements.

The company has no investment in securities.

2.08.03 Loans, advances and provisions

Loans and advances are stated at gross amount. General provisions on unclassified loans and Off-Balance Sheet Items, specific provisions for classified loans and interest suspense account thereon are shown under other liabilities. Provision is made on the basis of quarter end against classified loans and advances review by the management and instruction contained in FID Circular no. 08 dated 3 August 2002, FID circular no. 03 and dated 03 May 2006.

a) Interest on loans and advances

Interest is calculated on a daily product basis but charged and accounted for on accrual basis. Interest is calculated on unclassified loans and advances and recognized as income during the year. Interest on classified loans and advances is kept in suspense account as per Bangladesh Bank instructions and such interest is not accounted for as income until realised from borrowers. Interest is not charged on bad and loss loans as per guidelines of Bangladesh Bank.

b) Provision for loans and advances

Provision for loans and advances are made on quarter basis as well as year-end review by management following instructions contained in FID circular No. 08 dated 03 August 2002, FID circular No. 03, dated 03 May 2006 and FID circular No. 03, dated 29 April 2013 issued by Bangladesh Bank. General Provision on unclassified loans and advances and specific provision on classified loans & advances are given below:

c) Rate of provision

Particulars	All loan/lease
Standard-other than SME	1%
Standard-SME	0.25%
Special mention account (SMA)	5%
Sub-standard (SS)	20%
Doubtful (DF)	50%
Bad/loss (BL)	100%



d) Presentation of loans and advances

Loans and advances are shown at gross amount as assets while interest suspense and loan loss provision against classified advances are shown as liabilities in the statement of financial position.

e) Write off loans and advances

Loans and advances/investments are written off as per guidelines of Bangladesh Bank. These written off however will not undermine/affect the claim amount against the borrower. Detailed memorandum records for all such written off accounts are meticulously maintained and followed up.

2.08.04 Property, plant and equipment

2.08.04.01 Owned assets

Own property, plant and equipment are stated at cost less accumulated depreciation. The cost of an asset comprises its purchase price and any directly attributable costs associated with bringing the assets to its working condition for its intended use as per Bangladesh Accounting Standard 16 'Property, Plant and Equipment'.

2.08.04.02 Leased assets

Leasehold assets are accounted for as Finance Lease and capitalized at the inception of the lease at the fair value of the leased property or at the present value of the minimum lease payments, whichever is lower as per Bangladesh Accounting Standard 17 'Leases'. The corresponding obligation under the lease is accounted for as Liability.

2.08.04.03 Subsequent expenditure on property, plant and equipment

Subsequent expenditure is capitalized only when it increases the future economic benefits from the assets. All other expenditures are recognized as an expense as and when they are incurred.

2.08.04.04 Depreciation on property, plant & equipment and intangible assets

Depreciation on fixed assets is charged consistently on straight-line method at following rates throughout the estimated useful life of the assets. On newly acquired assets depreciation is charged for the full month irrespective of date of acquisition.

Sl. No.	Category of Fixed assets	Rate of Depreciation/ Amortisation
1.	Land & Land Development	0%
2.	Computer & IT Equipment	33.33%
3.	Office Equipment	10%
4.	Furniture & Fixtures	10%
5.	Motor Vehicles	20%
6.	Building	10%
7.	Civil Construction	50%
8.	Accounting Software	50%

The gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sale proceeds and the carrying amount of the concerned asset and is recognised accordingly in the Profit or Loss Account.

2.08.04.05 Impairment of property, plant and equipment

The carrying amount of the assets should be reduced to its recoverable amount when carrying amount of an asset is exceeding the recoverable amount of that asset. That reduction is an impairment loss hence recognized as expenses in the statement of comprehensive income (profit or loss account).

2.08.05 Leases

The determination of whether an arrangement is (or contains) a lease is based on the substance of the arrangement at the inception date. The arrangement is assessed for whether fulfilment of the arrangement is dependent on the use of a specific asset or assets or the arrangement conveys a right to use the asset or assets, even if that right is not explicitly specified in an arrangement.

a) The company as a lessee

i) Operating lease

Leases in which a significant portion of the risks and rewards of ownership are retained by another party, the lessor, are classified as operating leases. Payments, including pre-payments, made under operating leases (net of any incentives received from the lessor) are charged to

income statement on a straight-line basis over the period of the lease.

ii) Finance lease

Leases of assets where the company has substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are recognised at the lease’s commencement at the lower of the fair value of the leased property and the present value of the minimum lease payments. Each lease payment is allocated between the liability and finance charges so as to achieve a constant rate on the finance balance outstanding. The corresponding rental obligations, net of finance charges, are included in current and non- current borrowings. No assets has acquired by the company as a finance lease.

b) The company as a lessor

Leases where the company does not transfer substantially all of the risk and benefits of ownership of the asset are classified as operating leases. Initial direct costs incurred in negotiating operating leases are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned. No assets have given by the company as a lease.

2.08.06 Intangible assets

The Company’s intangible assets include the value of computer software. An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the Company.

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

The useful lives of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite lives are amortised over the useful economic life. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as

appropriate, and they are treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is presented as a separate line item in the statement of comprehensive income (profit and loss account).

Amortisation is calculated using the straight–line method to write down the cost of intangible assets to their residual values over their estimated useful lives as follows:

Items of intangible Assets	Estimate useful life
Computer software	3.33 years

2.08.07 Non-current assets held for sale

Non-current assets classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell. Non-current assets are classified as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset is available for immediate sale in its present condition, management has committed to the sale, and the sale is expected to have been completed within one year from the date of classification.

The company has no such asset which held for sale.

2.08.08 Other assets

Other assets include all other financial assets and fees and unrealised income receivable, advance for operating and capital expenditure and stocks of stationery and stamp. Details are shown in Note-10. Receivables are recognised when there is a contractual right to receive cash or another financial asset from another entity.

2.08.09 Non-business assets

Non-business assets are acquired on account of the failure of a borrower to repay the loan in time after receiving the decree from the court regarding the right and title of the mortgage property. There are no assets acquired in exchange for loan during the period of financial statements.

2.09 Basis for valuation of liabilities and provisions

2.09.01 Provision for tax

a) Current tax

Provision for Current Tax is made on the basis of the profit for the period as adjusted for taxation purpose in accordance with the provision of Income Tax Ordinance, 1984 and amendments made thereof.



b) Deferred tax

The company has adopted a policy of recognition of deferred tax in accordance with Bangladesh Accounting Standard 12 'Income Taxes'. Deferred tax is provided using the liability method for all temporary timing differences between the carrying amount of assets and liabilities for financial reporting purposes and the amount used for tax purposes. The amount of deferred tax is determined at the effective income tax rate prevailing at the Balance Sheet date.

2.09.02 Employees' benefit obligation

a) Defined contribution plan

The Company started contributory provident fund scheme for its employees as per provident fund rules. The fund consists of subscription of all participatory employees and contribution from the company at a predetermined rate. The fund is administered by a Board of Trustees and invested separately from the Company's assets.

b) Defined benefit plan

The Company started operating gratuity scheme as per gratuity rules which is administered by the Labour Act 2006.

2.09.03 Write-off

Write-off describes a reduction in recognized value. It refers to recognized or the zero value of an assets. Generally it refers to an investment for which a return on the investment is now impossible or unlikely. The items potential returns is thus calculated and removed (written-off) from the business balance sheet.

2.10 Capital and shareholders' equity

2.10.01 Capital management

The company has a capital management process for measuring, deploying and monitoring its available capital and assessing its adequacy. This capital management process aims to achieve four major objectives; exceed regulatory thresholds and meet long-term internal capital targets, maintain strong credit rating, manage capital levels commensurate with the risk profile of the company and provide the company's shareholder with acceptable returns.

Capital is managed in accordance with the board approved capital management planning from time to time. Senior management develops the capital strategy and oversees

the capital management planning of the company. The company's finance and risk management department are key to implementing the company's capital strategy and managing capital. Capital is managed using both regulatory control measure and internal matrix.

2.10.02 Paid up capital

Paid up share capital represents total amount of shareholder capital that has been paid in full by the Government of Bangladesh i.e. ordinary shareholder. In the event of winding-up of the company ordinary shareholder(s) rank after all other shareholders and creditors are fully entitled to any residual proceeds of liquidation.

2.10.03 Statutory reserve

As per the Financial Institution Regulations 1994 it is required for the company to transfer 20% of its current year's profit before tax to reserve until such reserve equals to its paid up capital.

2.10.04 Dividends on ordinary shares

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Company's shareholders. Dividends for the year that are approved after the reporting date are disclosed as an event after the reporting date.

2.11 Contingent liabilities and contingent assets

A contingent liability is –

Any possible obligation that arises from the past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or any present obligation that arises from past events but is not recognised because:

- ▶ it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
- ▶ the amount of the obligation cannot be measured with sufficient reliability.

Contingent liabilities are not recognised but disclosed in the financial statements unless the possibility of an outflow of resources embodying economic benefits is reliably estimated.

Contingent assets are not recognised in the financial statements as this may result in the recognition of income which may never be realised.

2.12 Materiality, aggregation and off setting

Each material item as considered by management significant has been displayed separately in the financial statements. No amount has been set off unless the Company has legal right to set off the amounts and intends to settle on net basis. Income and expenses are presented on a net basis only when permitted by the relevant accounting standards.

The values of any asset or liability as shown in the statement of financial position (balance sheet) are not off-set by way of deduction from another liability or asset unless there exist a legal right therefore. No such incident existed during the year.

2.13 Revenue recognition

2.13.01 Income from lease finance

The lease transactions are accounted for under finance lease in line with IAS -17 as adopted by the Institute of Chartered Accountants of Bangladesh. The aggregate lease receivables including un-guaranteed residual value throughout the lease term are recorded as gross receivables while excess of gross receivables over the total acquisition cost including interest during the period of acquiring the lease equipment constitutes the unearned lease income

2.13.02 Income from direct finance

Direct finance operation consists of long term, short term and working capital finance, books of account for which are maintained based on the accrual method of accounting. Interest earnings from direct finance are recognized as operational revenue periodically.

2.13.03 Dividend income

Revenue is recognised when the company right to receive the payment is established, which is generally when the shareholders approve the dividend.

2.13.04 Other operational income

Other operational income is recognized as and when received. Such income comprises of the following:

- ▶ Appraisal and documentation fees,
- ▶ Commitment fees,

- ▶ Supervision fees,
- ▶ Delinquent charge,
- ▶ Due diligence fees, and
- ▶ Miscellaneous receipts.

2.14 Earnings per share

Earnings per shares is calculated by dividing the profit or loss attributable to ordinary shares of the BIFFL by the weighted average number of ordinary shares outstanding during the year. BIFFL calculates EPS in accordance with Bangladesh accounting standard 33 'Earnings per Share' which has been shown in the profit and loss and computation is stated in Note no. 37.

Diluted Earnings per share is not required to be calculated for the year as there is no scope for dilution during the year.

2.15 Presentation of operating segments

There are no reportable operating segments of BIFFL as on reporting date according to the definition of operating segments of IAS 14 and IFRS 8.

2.16 Contingent assets & liabilities

The Company does not recognize contingent liabilities and contingent assets but disclosed the existence of contingent liabilities and assets in the financial statements. A contingent liability is a probable obligation that arises from past events whose existence will be confirmed by occurrence or non-occurrence of uncertain future events not within the control of the company or a present obligation that is not recognized because outflow of resources is not likely or obligation cannot be measured reliably.

2.17 Liquidity statements

The liquidity statement has been prepared in accordance with remaining maturity grouping of Assets and Liabilities as of the close of the reporting period as per following bases:

- ▶ Balance with other company's and financial institutions are on the basis of their maturity term.
- ▶ Investments are on the basis of their residual maturity term.
- ▶ Loans and Advances are on the basis of their repayment /maturity schedule.
- ▶ Property, plant and equipments are on the basis of their useful lives.



- ▶ Other assets are on the basis of their adjustments terms.
- ▶ Borrowings from other company's and financial institutions are on the basis of their maturity/ repayment schedule.
- ▶ Deposits and other accounts are on the basis of their maturity terms and past behavioral trends.
- ▶ Other liabilities are on the basis of their settlement terms.

2.18 Events after the reporting period

Events after the reporting period that provide additional

information about the company's position at the statement of financial position date are reflected in the financial statements in Note no. 45 as per Bangladesh Accounting Standards BAS-10: 'Events after the reporting period'.

2.19 Compliance report on Bangladesh accounting standards (bas) and Bangladesh financial reporting standards (BFRS)

The following Accounting and Reporting Standards are applicable for Bangladesh Infrastructure Finance Fund Limited and which are followed in preparing the Financial Statements of the Company:

Sl. No.	Name of the BAS	BAS No.	Status
01	Presentation of Financial Statements	01	Applied *
02	Inventories	02	Not Applicable
03	Cash Flow Statements	07	Applied
04	Accounting Policies, Changes in Accounting estimates and Errors	08	Applied
05	Events after the Balance Sheet Date	10	Applied
06	Construction Contract	11	Not Applicable
07	Income Taxes	12	Applied
08	Segment Reporting	14	Not Applicable
09	Property, Plant and Equipment	16	Applied
10	Leases	17	Applied
11	Revenue	18	Applied
12	Employee Benefits	19	Applied
13	Accounting for Government Grants and Disclosure of Government Assistance	20	Not Applicable
14	The Effects of Changes in Foreign Exchange Rates	21	Applied
15	Borrowing Costs	23	Not Applicable
16	Related Party Disclosures	24	Applied
17	Accounting and Reporting by Retirement Benefit Plans	26	Applied
18	Consolidated and Separate Financial Statements	27	Not Applicable
19	Investments in Associates	28	Not Applicable
20	Interest in Joint Ventures	31	Not Applicable
21	Financial Instruments: Presentation	32	Applied
22	Earnings per Share	33	Applied
23	Interim Financial Reporting	34	Applied
24	Impairment of Assets	36	Not Applied
25	Provision, Contingent Liabilities and Contingent Assets	37	Applied
26	Intangible Assets	38	Applied
27	Financial Instruments: Recognition and Measurement	39	Applied
28	Investment Property	40	Not Applicable
29	Agriculture	41	Not Applicable

*As the regulatory requirements differ with the standards, relevant disclosures are made in accordance with Bangladesh Bank's requirements.



Sl. No.	Name of the BFRS	BFRS No.	Status
01	First Time adoption of IFRS	1	Not Applicable
02	Share Based Payment	2	Not Applicable
03	Business Combinations	3	Not Applicable
04	Insurance Contracts	4	Not Applicable
05	Non-current Assets held for sales and discontinued operations	5	Applied
06	Exploration for and Evaluation of Mineral Resources	6	Not Applicable
07	Financial Instruments: Disclosures	7	Applied
08	Operating Segments	8	Not Applicable
09	Financial Instruments	9	Applied
10	Consolidated financial statements	10	Not Applicable
11	Joint Arrangements	11	Not Applicable
12	Discloser of interest in other entities	12	Not Applicable
13	Fair value measurement	13	Applied

2.20 Capital adequacy and market discipline

To cope with the international best practices and to make up the capital more risks sensitive as well as more shock resilient, a road map was issued in August 2010 on implementation of Basel Accord in the FIs. Being well pursuant with the road map, prudential guidelines namely 'Capital Adequacy and Market Discipline for Financial Institutions' had been introduced by Bangladesh Bank from December, 2011. The guidelines came into force from 1 January, 2012 with necessary supplements/revisions. Instructions in respect of Minimum Capital Requirement, Adequate Capital and Disclosures requirement as stated in the guidelines have been followed for the purpose of statutory compliance.

As per prudential guideline BIFFL calculated Minimum Capital Requirement (MCR) by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I.

Pillar – 1: Minimum capital requirement

Credit Risk

The calculation of capital requirement against credit risk is more elaborate and risk sensitive. The Accord gives a choice of some sophisticated approaches to address risks, and adoption of a Particular approach depends on the risk measurement capabilities and robustness of the systems in place in a Financial Institution. A Standardized Approach has been the preliminary choice of FIs for the credit risk calculation.

Market risk

Market risk is defined as the risk of losses in on and off-balance-sheet positions arising from movements in market prices. The risks subject to this requirement are:

- The risks pertaining to interest rate related instruments and equities in the trading book;
- Foreign exchange risk and commodities risk throughout the FI.

The capital charges for interest rate related instruments and equities applied to the current trading book items prudently valued by BIFFL. The capital charges for foreign exchange risk and for commodities risk applied to BIFFLs' total currency and commodity positions, subject to some discretion to exclude structural foreign exchange positions.

Operational risk

The accord introduces for the first time a capital charge for operational risk. The framework presents three methods for calculating operational risk capital charges in a continuum of increasing complexity and risk sensitivity. These methods are the Basic Indicator approach (a fixed percentage of gross income amount), Standardized approach (sum of a certain percentage of FI's income in each business line) and Internal Measurement approach (Statistical measure of FIs operational loss based on its historical loss data). But initially, Basic Indicator Approach has been applied for calculating the capital charge against operational risk.



2.21 Stress testing

Stress Testing is an important risk management tool that is used by the Financial Institutions as part of internal risk management and through the Basel II capital adequacy framework, is promoted by Bangladesh Bank. Stress Testing alerts Financial Institutions management to adverse unexpected outcomes related to a variety of risks and provides an Indication of how much capital might be needed to absorb losses should large shock occur. Stress Testing supplements other risk management approaches and measures playing particularly important role in:

- ▶ Providing forward-looking assessment of risk;
- ▶ Overcoming limitations of models and historical data;
- ▶ Supporting external and internal communication;
- ▶ Feeding into capital and liquidity planning procedures;
- ▶ Informing the setting of an FI's risk tolerance; and

- ▶ Facilitating the development of risk mitigation or contingency plans across a range of stressed conditions.

Stress Testing guideline have been issued by Bangladesh bank to provide a structured way of assessing the vulnerability of financial institutions to extreme but plausible market conditions. The guidelines enable institutions to accurately assess risk and define the "risk appetite" of the organization and also provide critical information to senior management for decision around capital allocation and contingency planning.

BIFFL exercise stress testing on its portfolio on quarterly basis and submit its stress testing report as per format prescribed by Bangladesh Bank on regular basis.

		Amount in Taka	
		2016	2015
3	Cash		
	Cash in hand (Note-3.1)	478,374	13,458
	Balance with Bangladesh Bank and its agents Bank(s)	58,125,508	53,000,000
		58,603,882	53,013,458
3.1	Cash in hand		
	In local currency	478,374	13,458
	In foreign currency	-	-
		478,374	13,458
3.2	Balance with Bangladesh Bank and its agents Bank(s)		
	Balance with Bangladesh Bank	58,125,508	53,000,000
	In foreign currency	-	-
		58,125,508	53,000,000
3.3	Balance with Bangladesh Bank		
	Balance with Bangladesh Bank is non-interest bearing and maintained to meet the Cash Reserve Requirement (CRR). CRR (note 3.4) and Statutory Liquidity Reserve (note 3.5) have been calculated and maintained in accordance with Financial Regulations 1994 and FID Circular No. 06 dated 6th November, 2003 and FID Circular No. 02 dated 10th November, 2004.		
3.4	Cash Reserve Requirement (CRR)		
	CRR has been calculated at the rate of 2.5% on Total Term Deposits which is preserved in current account maintained with Bangladesh Bank in compliance with FID circular no. 6 dated 6th November, 2003 and FID Circular No. 02 dated 10th November, 2004. Total Term Deposits means Term or Fixed Deposits, Security Deposit against Lease/ Loan and other Term Deposits received from individuals and institutions (except Banks and Financial Institutions).		
	Required reserve	-	-
	Actual reserve held	58,125,508	53,000,000
	Surplus / (Deficit)	58,125,508	53,000,000

Amount in Taka	
2016	2015

3.5 Statutory Liquidity Reserve (SLR)

SLR has been calculated at the rate of 5% of total liabilities, including CRR of 2.5% on Total Term Deposits. SLR is maintained in liquid assets in the form of Cash in Hand, balance with Bangladesh Bank, balance with other Banks & Financial Institutions, Investment at Call, unencumbered Treasury Bills, Prize Bond, Savings Certificates & any other assets approved by Bangladesh Bank.

Required reserve	13,994,924	-
Actual reserve held	11,371,726,075	17,489,435,462
Surplus / (Deficit)	11,357,731,151	17,489,435,462

4 Balance with banks and other financial institutions

Inside Bangladesh

Current accounts (Note-4.1)	176,795	8,655,752
Short term deposit accounts (Note-4.2)	39,473,248	148,255,230
Fixed deposit accounts (Note-4.3)	11,313,600,567	17,436,435,462
	11,353,250,610	17,593,346,444

Outside Bangladesh

	-	-
	11,353,250,610	17,593,346,444

The company does not maintain any account outside of Bangladesh

4.1 Current account

One Bank Ltd.	37,166	7,905,870
Dutch Bangla Bank Ltd.	139,629	749,882
	176,795	8,655,752

4.2 Short term deposit account

One Bank Ltd.	11,354,730	143,867,168
NRB Bank Ltd.	14,022,028	4,366,279
United Commercial Bank Ltd.	6,235,682	12,000
Shahjalal Islami Bank Ltd.	7,850,222	-
Sonali Bank Ltd.	10,586	9,783
	39,473,248	148,255,230

4.3 Fixed deposit accounts

AB Bank Ltd.	389,767,033	497,754,468
First Security Islami Bank Ltd.	398,758,075	552,148,675
NRB Commercial Bank Ltd.	164,856,022	20,000
NRB Bank Ltd.	154,990,832	211,205,432
One Bank Ltd.	215,965,998	20,000,000
Midland Bank Ltd.	-	224,215,833
Union Bank Ltd.	627,952,426	368,802,407
Janata Bank Ltd.	-	3,567,559,474
SBAC Bank Ltd.	278,844,537	90,000,000
IDLC Finance Ltd.	31,445,160	50,000,000
Premier Bank Ltd.	1,268,161,946	1,351,550,263



	Amount in Taka	
	2016	2015
Modhumoti Bank Ltd.	-	201,897,500
Shahjalal Islami Bank Ltd.	71,039,733	20,000,000
The City Bank Ltd.	-	52,025,000
Delta Brac Housing Finance Corporation Ltd.	248,289,606	90,000,000
Meghna Bank Ltd.	111,080,832	155,130,896
EXIM Bank Ltd.	1,001,883,056	472,700,000
Lanka Bangla Finance Ltd.	259,295,817	100,000,000
Trust Bank Ltd.	56,782,548	53,846,180
NRB Global bank Ltd.	526,410,574	173,176,250
Farmers Bank Ltd.	1,011,691,331	815,818,750
Al Arafah bank Ltd.	345,906,479	112,230,808
National Bank Ltd.	21,055,032	20,000,000
Jamuna Bank Ltd.	-	931,296,197
Rupali Bank Ltd.	10,000	4,582,116,498
United Commercial Bank Ltd.	392,315,384	205,769,095
Bank Asia Ltd.	186,271,493	30,000,000
International Leasing & Financial Services Ltd.	301,785,000	-
ICB Islamic Bank Ltd	537,141,001	-
IFIC Bank Ltd.	1,313,220,203	2,487,171,736
FAS Finance & Investment Ltd.	200,892,500	-
First Finance Ltd.	175,291,900	-
Premier Leasing Ltd.	250,000,000	-
Phoenix Finance Ltd.	104,799,806	-
Peoples Leasing Ltd.	150,000,000	-
NCC Bank Ltd.	91,131,328	-
Social Islami Bank Ltd.	256,564,915	-
Mercantile Bank Ltd.	50,000,000	-
Bangladesh Commerce Bank Ltd.	50,000,000	-
Bamgladesh Industrial Finance Company Ltd.	70,000,000	-
	11,313,600,567	17,436,435,462

4.4 Maturity grouping of balance with banks and other financial institutions

On demand	176,795	8,655,752
Up to 1 month	39,473,248	148,255,230
Over 1 month but not more than 3 months	8,485,200,425	12,554,233,533
Over 3 months but not more than 1 year	2,828,400,142	4,882,201,929
Over 1 year but not more than 5 years	-	-
Over 5 years	-	-
	11,353,250,610	17,593,346,444



		Amount in Taka	
		2016	2015
5	Money at call and short notice	-	-
6	Investments		
	Investment classified as per nature:		
	Government (Note-6.1)	-	-
	Others (Note-6.2)	2,505,544,789	-
		2,505,544,789	-
6.1	Government Securities		
	Treasury bills	-	-
	National investment bonds	-	-
	Bangladesh Bank bills	-	-
	Government notes / bonds	-	-
	Others	-	-
		-	-
6.2	Other investments		
	Investment in Preference Share (Note-6.2.1)	450,000,000	-
	Investment in Commercial Paper (Note-6.2.2)	1,650,000,000	-
	Investment in Bond (Note-6.2.3)	405,544,789	-
		2,505,544,789	-
6.2.1	Investment in Preference Share		
	Summit Barisal Power Limited	250,000,000	-
	Summit Narayanganj Power Limited	200,000,000	-
		450,000,000	-
6.2.2	Investment in Commercial Paper		
	MAX infrastructure Ltd.	400,000,000	-
	Durable Plastic Ltd.	500,000,000	-
	Energypac Ltd.	500,000,000	-
	Computer Source Ltd.	250,000,000	-
		1,650,000,000	-
6.2.3	Investment in Bond		
	IDLC Zero Coupon Bond	405,544,789	-
		405,544,789	-
7	Leases, Loans and advances		
	a) Inside Bangladesh		
	Leases (Note -7.1)	-	-
	Loans	7,790,365,136	4,358,268,450
	Cash credits	-	-
	Overdrafts	-	-
	Sub-total	7,790,365,136	4,358,268,450



		Amount in Taka	
		2016	2015
	b) outside Bangladesh	-	-
	Total	7,790,365,136	4,358,268,450
7.1	Leases	-	-
7.2	Sector wise leases, loans and advances		
	Public sector	3,099,044,331	-
	Co-operative sector	-	-
	Private sector	4,691,320,805	4,358,268,450
		7,790,365,136	4,358,268,450
7.3	Residual maturity grouping of leases, loans and advances		
	On demand	-	-
	Up to 1 month	-	-
	Over 1 month but not more than 3 months	1,012,747,468	566,574,899
	Over 3 months but not more than 1 year	2,492,916,844	1,394,645,904
	Over 1 year but not more than 5 years	2,726,627,798	1,525,393,958
	Over 5 years	1,558,073,027	871,653,690
		7,790,365,136	4,358,268,450
7.4	Leases, loans and advances on the basis of significant concentration		
	a. Leases, loans and advances to Directors and organizations related to Directors (fully secured)	-	-
	b. Leases, loans and advances to Chief Executive Officer and other senior executives	91,622	141,626
	c. Leases, loans and advances to customers groups:	-	-
	d. Leases, loans and advances on sector basis:	-	-
	i) Textiles	-	-
	ii) Garments and Accessories	-	-
	iii) Transport (including Marin Transport)	3,800,000,000	120,000,000
	iv) Chemicals and Pharmaceuticals	-	-
	v) Iron, Steel and Engineering	-	-
	vi) Agricultural Equipments and Agro Industries	-	-
	vii) Power and Energy	270,054,602	1,281,890,477
	viii) Electronics and Electrical	-	-
	ix) Information Technology (IT)	-	-
	x) Paper printing and packaging	-	-
	xi) Plastic	-	-
	xii) Real Estate and Housing	-	-
	xiii) Food and Beverage	-	-
	xiv) Glass and Ceramics	102,481,875	-
	xv) Services	518,692,706	-

		Amount in Taka	
		2016	2015
	xvi) Others	3,099,044,331	2,956,236,347
	Total	7,790,365,136	4,358,268,450
7.5	Leases, loans and advances on geographical basis		
	Inside Bangladesh:		
	Urban :		
	Dhaka Division	7,790,365,136	4,358,268,450
	Chittagong Division	-	-
	Khulna Division	-	-
	Rajshahi Division	-	-
	Barisal Division	-	-
	Sylhet Division	-	-
	Sub-total	7,790,365,136	4,358,268,450
	Rural :		
	Dhaka Division	-	-
	Chittagong Division	-	-
	Khulna Division	-	-
	Rajshahi Division	-	-
	Barisal Division	-	-
	Sylhet Division	-	-
	Sub-total	-	-
	Outside Bangladesh:	-	-
	Total	7,790,365,136	4,358,268,450
7.6	Classification of Leases, loans and advances		
	Unclassified :		
	Standard	7,790,365,136	4,358,268,450
	Special mention account (SMA)	-	-
	Sub-total	7,790,365,136	4,358,268,450
	Classified :		
	Sub-standard	-	-
	Doubtful	-	-
	Bad/Loss	-	-
	Sub-total	-	-
	Total	7,790,365,136	4,358,268,450
8	Bills purchased and discounted		
	Payable in Bangladesh	-	-
	Payable outside Bangladesh	-	-
		-	-



		Amount in Taka	
		2016	2015
9	Fixed assets including premises, furniture and fixtures		
	Cost:		
	Opening Balance	16,760,189	13,572,627
	Addition during the year	303,467,787	3,187,562
		320,227,976	16,760,189
	Adjustment during the year	-	-
	Closing Balance (A)	320,227,976	16,760,189
	Less: Accumulated Depreciation		
	Opening Balance	8,908,132	7,268,207
	Charged during the year	14,939,997	1,639,925
		23,848,129	8,908,132
	Adjustment during the year	-	-
	Closing Balance (B)	23,848,129	8,908,132
	Written Down Value (A-B) (Annexure-A)	296,379,847	7,852,057
10	Other assets		
	Advance income tax (Note-10.1)	2,265,245,371	2,606,744,317
	Interest receivable on FDR	94,462,441	245,148,928
	Security deposit	63,975	11,475
	Advance to suppliers	830,255	473,672
	Advance for purchase office premise	-	130,000,000
	Advance to Srehatta Economic Zone	-	750,000
	Office rent receivable	966,132	296,350
	Deferred tax assets (Note-10.2)	987,182	369,910
	Advance to Staff	701,923	-
	Receivable against investment (Note-10.3)	62,852,428	-
		2,426,109,706	2,983,794,652
10.1	Advance income tax		
	Opening balance	2,606,744,317	1,137,841,620
	Income tax deducted at sources	122,928,325	184,613,245
	Paid during the year	693,844,719	1,284,289,452
	Less: Adjustment of AIT on FDR	1,158,271,990	-
		2,265,245,371	2,606,744,317
10.2	Deferred tax assets		
	Opening balance	369,910	362,954
	Deferred tax income during the year	617,272	6,956
		987,182	369,910

		Amount in Taka	
		2016	2015
	Tax deductible temporary difference		
	Gratuity payable	2,322,781	870,376
	Appliacble tax rate	42.50%	42.50%
	Closing deferred tax assets	987,182	369,910
10.3	Receivable against investment		
	Dividend receivable (Note-10.3.1)	7,982,877	-
	Interest receivable on Commercial Paper (Note-10.3.2)	53,587,500	-
	Interest receivable on Zero Coupon Bond (Note-10.3.4)	1,282,051	-
		62,852,428	-
10.3.1	Receivable in Preference Share		
	Summit Barisal Power Limited	4,434,931	-
	Summit Narayanganj Power Limited	3,547,946	-
		7,982,877	-
10.3.2	Receivable in Commercial Paper		
	MAX infrastructure Ltd.	38,150,000	-
	Durable Plastic Ltd.	7,104,167	-
	Energypac Ltd.	8,333,333	-
		53,587,500	-
10.3.3	Receivable in Bond		
	IDLC Zero Coupon Bond	1,282,051	-
		1,282,051	-
11	Non-business assets	-	-
12	Borrowings from banks, other financial institutions and agents		
	Advance from BB Refinance Scheem	4,385,528	6,000,000
	SOD Loan Payable - United Commercial Bank Ltd.	-	150,145,833
	SOD Loan Payable - IFIC Bank Ltd.	-	591,971,116
		4,385,528	748,116,949
13	Deposits and other accounts	-	-
14	Other Liabilities		
	Provision for Income Tax 14.1	2,311,030,387	2,862,872,525
	Accounts payable 14.2	6,259,343	2,946,525
	Advance commercial space rent	966,129	592,697
	Provision for Loan, Lease & Advance	103,517,965	43,581,268
	Deferred tax liabilities 14.3	8,170,713	604,592
	Employee benefit liabilities 14.4	2,322,781	870,376
	Audit fees payable	65,000	69,000
	Accounts Payable - Borak Unique Heights	3,500,000	-
		2,435,832,316	2,911,536,983

		Amount in Taka	
		2016	2015
14.1	Provision for income tax		
	Opening balance	2,862,872,525	2,097,286,641
	Add: Addition during this year	606,429,852	765,585,884
	Less : Adjustment this year	1,158,271,990	-
		2,311,030,387	2,862,872,525
14.2	Accounts Payable		
	Salary payable	963,430	1,332,776
	Withholding tax	503,524	106,308
	Withholding VAT	803,622	1,507,441
	Bills payable	3,988,767	-
		6,259,343	2,946,525
14.3	Deferred tax liabilities		
	Opening balance	604,592	828,865
	Deferred tax (income)/expense during the year	7,566,121	(224,273)
		8,170,713	604,592
	Taxable temporary difference		
	Carrying amount of fixed assets as per accounting base	296,524,594	7,688,257
	Carrying amount of fixed assets as per tax base	277,299,387	6,265,687
	Taxable temporary difference on fixed assets	19,225,206	1,422,570
	Applicable tax rate	42.50%	42.50%
	Closing deferred tax liabilities	8,170,713	604,592
	Deferred tax liabilities at the beginning of the year	604,592	828,865
	Deferred tax (income)/expense during the year	7,566,121	(224,273)
14.4	Employee benefit liabilities		
	Gratuity payable - ED & CEO	792,000	-
	Gratuity payable - Staff	1,617,405	870,376
	Total	2,409,405	870,376
	Paid during the year	86,625	-
		2,322,780	870,376
15	Share Capital		
15.1	Authorized capital		
	1,000,000,000 Ordinary shares @ Tk. 100 each	100,000,000,000	100,000,000,000
15.2	Issued, Subscribed & Paid up Capital :		
	201,000,000 shares & 194,000,000 Shares @Tk. 100 each	20,100,000,000	19,400,000,000

Amount in Taka	
2016	2015

15.3 Capital adequacy and market discipline

As per Capital Adequacy and Market Discipline for Financial Institutions guideline of Bangladesh Bank, BIFFL calculated Minimum Capital Requirement (MCR) by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I. BIFFL maintain Capital Adequacy Ratio (CAR) of minimum 10%.

Tier-1 (Core Capital)

Fully paid-up capital/ capital lien with BB

Statutory reserve

Non-repayable share premium account

General reserve

Retained earnings

Minority interest in subsidiaries

Non- cumulative irredeemable preference shares

Dividend equalization account

Other (if any item approved by Bangladesh Bank)

Sub-Total

Deductions from tier-1 (Core capital)

Book value of goodwill and any value of any contingent assets which are shown as assets

Shortfall in provisions required against classified assets

Shortfall in provisions required against investment in share

Remaining deficit on account of revaluation of investments

in securities after netting off any other surplus on the securities

Any investment exceeding the approved limit

Investments in subsidiaries which are not consolidated

Other (if any)

Sub-Total

Total eligible Tier-1 capital

2. Tier-2 (Supplementary capital)

General provision (Unclassified up to special limit+SMA+off balance sheet exposure)

Assets revaluation reserves upto 50%

Revaluation reserve for securities upto 50%

All other preference shares

Other (if any item approved by Bangladesh Bank)

Sub-Total

Deductions, if any

Total eligible Tier-2 capital

Total capital

20,100,000,000	19,400,000,000
1,242,007,225	1,087,324,226
-	-
-	-
648,028,901	849,296,903
-	-
-	-
-	-
-	-
21,990,036,126	21,336,621,129
-	-
-	-
-	-
-	-
-	-
-	-
-	-
-	-
21,990,036,126	21,336,621,129
103,517,965	43,581,268
-	-
-	-
-	-
-	-
103,517,965	43,581,268
-	-
103,517,965	43,581,268
22,093,554,091	21,380,202,397



		Amount in Taka	
		2016	2015
	Total risk weighted asset	7,984,306,514	19,007,500,000
	Required capital	798,430,651	1,900,750,000
	Surplus / (Deficit)	21,295,123,440	19,479,452,397
	Capital adequacy ratio (CAR)	276.71%	112.48%
	On core capital (Tier-1)	275.42%	112.25%
	On supplementary capital (Tier-2)	1.30%	0.23%
16	Share premium	-	-
17	Statutory reserve		
	Opening balance	1,087,324,226	886,851,618
	Add: Transferred during the year	154,682,999	200,472,608
	Closing balance	1,242,007,225	1,087,324,226
	According to the Rule 6 of The Financial Institutions Regulation 1994, the company transfers 20% of its net profits for the respective year to statutory reserve.		
18	Other Reserve	-	-
	The company doesn't maintain any other reserve.		
19	Retained earnings		
	Opening balance	849,296,903	3,547,406,471
	Add: Net profit for the year	773,414,997	1,002,363,040
		1,622,711,900	4,549,769,511
	Less: Transferred to statutory reserve	154,682,999	200,472,608
	Less: Stock Dividend	700,000,000	3,400,000,000
	Less: Cash Dividend	120,000,000	100,000,000
	Closing balance	648,028,901	849,296,903
20	Income Statement		
20.1	Income		
	Interest, discount and similar income	-	-
	Interest income on leases, loans and advances (Note-21)	412,661,561	188,049,291
	Investment income (Note-23)	111,305,553	-
	Other operating income (Note-24)	1,059,607,290	1,677,323,789
		1,583,574,404	1,865,373,080
20.2	Expenses		
	Interest expenses on deposits, borrowings, etc. (Notes-22)	36,272,212	22,909,751
	Salary and allowances (Note-25)	25,482,859	13,944,949
	Rent, taxes, insurance, electricity, etc. (Note-26)	7,162,062	4,224,990
	Legal expenses (Note-27)	2,691,756	1,112,807
	Postage, stamp, telecommunication etc. (Note-28)	2,117,637	274,763
	Stationery, printing, advertisement etc. (Note-29)	10,523,212	3,416,927



		Amount in Taka	
		2016	2015
	Managing Director's salary and allowances (Note-30)	9,083,160	5,593,211
	Directors' fee (Note-31)	1,286,705	619,957
	Auditors' fee (Note-32)	104,200	69,000
	Depreciation and repairs of company's assets (Note-33)	25,582,091	5,494,391
	Other administrative expenses (Note-34)	16,538,115	6,744,149
		136,844,009	64,404,895
21	Interest income on leases, loans and advances		
	Interest income from Term Loan (Note-21.1)	412,661,561	188,049,291
		412,661,561	188,049,291
21.1	Interest income from Term Loan		
	Sinha Peoples Energy Ltd.	80,572,432	152,679,436
	ARB Enterprise	464,227	457,933
	First Dhaka Elevated Expressway Company Ltd.	123,323,928	678,333
	Regent Energy & Power Ltd.	33,480,946	4,216,667
	Srehatta Economic Zone	148,462,072	30,016,922
	Makrail Auto Bricks Ltd.	2,971,250	-
	Sea Pearl Beach Resort & Spa Ltd.	23,386,706	-
		412,661,561	188,049,291
22	Interest expenses on deposits, borrowings, etc.		
	Interest expense on SOD loan - Rupali Bank Ltd.	10,551,152	20,792,803
	Interest expense on SOD loan - United Commercial Bank Ltd.	1,007,735	145,833
	Interest expense on SOD loan - IFIC Bank Ltd.	15,334,387	1,971,115
	Interest expense on SOD loan - IDLC Finance Ltd.	60,764	-
	Interest expense on SOD loan - First Security Islami Bank Ltd.	87,500	-
	Interest expense on SOD loan - NRB Global Bank Ltd.	324,167	-
	Interest expense on SOD loan - Farmers Bank Ltd.	3,956,500	-
	Interest expense on SOD loan - Janata Bank Ltd.	4,783,340	-
	Interest expense on SOD loan - Premier Bank Ltd.	166,667	-
		36,272,212	22,909,751
23	Investment income		
	Interest income from Commercial Paper (Note-23.1)	82,025,000	-
	Interest Income from Bond (Note-23.2)	1,282,051	-
	Dividend Income from Preference Share (Note-23.3)	27,998,502	-
		111,305,553	-
23.1	Interest income from Commercial Paper		
	Bangla Trac Ltd.	20,250,000	-



		Amount in Taka	
		2016	2015
	Computer Source Ltd.	8,187,500	-
	Max Infrastructure Ltd.	38,150,000	-
	Energypac Ltd.	8,333,333	-
	Durable Plastics Ltd.	7,104,167	-
		82,025,000	-
23.2	Interest Income from Bond		
	IDLC Zero Coupon Bond	1,282,051	-
		1,282,051	-
23.3	Dividend Income from Preference Share		
	Summit Narayanganj Power Ltd.	12,443,779	-
	Summit Barisal Power Ltd.	15,554,723	-
		27,998,502	-
24	Other operating income		
	Interest revenue (FDR)	910,394,830	1,413,681,961
	Accrued interest revenue (FDR)	94,462,441	245,148,928
	Interest on SND	27,823,305	10,805,901
	Revenue from fees (Note-24.1)	21,690,078	7,390,650
	Income from office rent	5,236,636	296,349
		1,059,607,290	1,677,323,789
24.1	Revenue from fees		
	Due diligence fees	1,924,239	7,235,150
	Loan application fees	612,725	140,000
	Fees from recruitment application	-	15,500
	Participation fees	262,500	-
	Delinquency fees	18,518,114	-
	Agency fees	200,000	-
	Legal fees Income	172,500	-
		21,690,078	7,390,650
25	Salary and allowances		
	Salary and allowances	22,705,788	12,885,173
	Bonus	2,030,062	1,043,409
	Gratuity provision	747,009	16,367
		25,482,859	13,944,949
26	Rent, taxes, insurance, electricity, etc.		
	Rent and taxes	2,462,394	3,514,044
	Electricity and wasa bill	1,630,715	710,946



		Amount in Taka	
		2016	2015
	Excise Duty	1,934,000	-
	Health insurance premium	377,688	-
	Insurance vehicle	757,265	-
		7,162,062	4,224,990
27	Legal expenses		
	Legal expense	208,500	149,085
	Renewal & registration	2,482,112	963,722
	Stamp cost	1,144	-
		2,691,756	1,112,807
28	Postage, stamp, telecommunication, etc.		
	Postage and courier	212,397	4,406
	Telephone, fax, internet and mobile	782,398	270,357
	Internet & networking Expense	445,992	-
	Internet Bandwith charge	676,850	-
		2,117,637	274,763
29	Stationery, printing, advertisements, etc.		
	Printing and stationery	2,590,984	1,546,902
	Advertisement and publicity	3,469,890	1,011,638
	Books & periodicals	101,810	46,465
	Business development expense	2,773,709	811,922
	CSR expenses	1,586,819	-
		10,523,212	3,416,927
30	Chief executive's salary and allowances		
	Remuneration	7,499,160	4,631,072
	Festival bonus	792,000	720,000
	Medical allowances	-	189,000
	Gratuity	792,000	-
	Telephone & internet allowance	-	53,139
		9,083,160	5,593,211
31	Directors' fees		
	Directors honorarium	1,286,705	619,957
		1,286,705	619,957
32	Audit fees	104,200	69,000
33	Depreciation and repairs of company's assets		
	Repair & maintenance	10,642,094	3,854,466
	Depreciation on company's fixed assets (Annexure-A)	14,939,997	1,639,925
		25,582,091	5,494,391



Amount in Taka	
2016	2015

34 Other operating expenses

Office maintenance	3,338,502	780,417
Travelling and conveyances	602,898	191,291
Training expenditure	932,955	313,535
Bank charge & commission	47,888	12,843
Entertainment expenses	2,205,860	958,714
Promotional expenditure	2,091,929	2,033,096
Consulancy fee	424,192	280,096
AGM expenditure	1,529,423	455,457
Donation & subscription	193,375	130,000
Office meeting expenses	245,321	570,873
Project Site supervision expense	613,742	153,248
Board meeting expense	1,020,672	634,579
Tax consultant fee	-	230,000
Recruitment expense	1,070,000	-
Membership expense	400,000	-
CIB charge	662,666	-
Retreat expense	1,158,692	-
	16,538,115	6,744,149

35 Provision for leases, loans and advances

Provision for classified leases, loans and advances	-	-
Provision for unclassified leases, loans and advances	59,936,697	33,250,490
	59,936,697	33,250,490

36 Provision for income tax

Current tax (Note-36.1)	606,429,852	765,585,884
Deferred tax expense during the year	6,948,849	(231,228)
	613,378,700	765,354,656

36.1 Current tax expense

Income tax expense during the year	602,002,712	765,585,884
Previous year shortage of tax provision	4,427,140	-
	606,429,852	765,585,884



37 Earning per share

Earning per share (EPS) is calculated in accordance with Bangladesh Accounting Standard No. 33. Earning per share has been calculated as follows:

Net profit after tax	773,414,997	1,002,363,040
Number of ordinary shares outstanding	201,000,000	201,000,000
Earning per share (restated)	3.85	4.99

The EPS for the year ended 31 December 2015 is being restated as 7,000,000 no. of stock dividend was issued for the year ended 31 December 2015.

38 Related party disclosures

The company doesn't have any transaction with related party.

39 Unacknowledged debt

The Company had no claim against it which has not been acknowledged as debt at the balance sheet date.

40 Receivable from directors

No amount is due from any of the directors of the Company.

41 Disclosure regarding branch

As at December 2016, the company has no branch in or outside of Bangladesh.

42 Disclosure of Executive Committee

To conform with the Bangladesh Bank guidelines, the Board of Directors of BIFFL constituted the Executive Committee of the company comprising members from the Board and the committee met several times during the year 2016.

43 Rounding off

Monetary figures in the financial statements have been rounded off to the nearest Taka.

44 Authorisation for issue

These financial statements were approved and authorised for issue on 13 May 2017 by the Board of Directors in the 53rd Board Meeting.

45 Events after reporting period

The Board of Directors in the 53rd board meeting dated 13 May 2017 had recommended cash dividend of Taka 150,000,000 as well as stock dividend of Taka 490,000,000 for the year ended 31 December 2016. for placement before the shareholders for approval at upcoming AGM of the company.

Except the fact stated above, there is no material events after the reporting date that are not adjusting events came to management attention which may be needful for the stakeholders.



Bangladesh Infrastructure Finance Fund Ltd.

Schedule of Fixed Assets & Intangible Assets

As at 31 December 2016

Amount in Taka

Particulars	Cost			Depreciation				Written down value			
	Balance as at 01.01.16	Addition during the year	Disposal/ adjustment during the year	Balance as at 31.12.16	Rate	Balance as at 01.01.16	Charged during the year	Disposal/ adjustment during the year	Balance as at 31.12.16	As at 31.12.16	As at 31.12.15
Computer & IT Equipment:											
Scanner & Printer	236,200	221,032	-	457,232	33.33%	100,770	55,366	-	156,136	301,096	135,430
Desktop PC	1,640,691	1,665,785	-	3,306,476	33.33%	792,671	575,725	-	1,368,396	1,938,080	848,020
LT Pannel & PFI Plant & PABX	215,000	139,100	-	354,100	33.33%	55,700	171,831	-	227,531	126,569	159,300
Multimedia Pro-jector	101,860	141,840	-	243,700	33.33%	44,469	16,516	-	60,985	182,715	57,391
Projector Screen	20,000	-	-	20,000	33.33%	10,830	5,866	-	16,696	3,304	9,170
Wifi System	-	432,000	-	432,000	33.33%	-	77318	-	77,318	354,682	-
Office Equipment & others:											
Office Equipment	906,164	2,211,735	-	3,117,899	10%	111,866	252,475	-	364,341	2,753,558	794,298
Electric Meter	9,400	-	-	9,400	10%	2,820	940	-	3,760	5,640	6,580
Wasa Meter	5,980	-	-	5,980	10%	1,674	598	-	2,272	3,708	4,306
Civil Construction	1,536,612	-	-	1,536,612	50%	177,659	679,477	-	857,136	679,477	1,358,953
Building	-	291,527,555	-	291,527,555	10%	-	10,761,712	-	10,761,712	280,765,843	-
Furniture	1,163,711	1,732,760	-	2,896,471	10%	184,155	202,626	-	386,781	2,509,690	979,556
Vehicle	10,639,211	5,395,980	-	16,035,191	20%	7,140,157	2,139,548	-	9,279,705	6,755,486	3,499,054
Sub total	16,474,829	303,467,787	-	319,942,616		8,622,772	14,939,997	-	23,562,769	296,379,847	7,852,057
Intangible assets											
Website	172,500	-	-	172,500	50%	172,500	-	-	172,500	-	-
Accounting software	112,860	-	-	112,860	50%	112,860	-	-	112,860	-	-
Sub total	285,360	-	-	285,360		285,360	-	-	285,360	-	-
Total	16,760,189	303,467,787	-	320,227,976		8,908,132	14,939,997	-	23,848,129	296,379,847	7,852,057



PHOTO ARCHIVE



01



02



03

- 01. Pohela boishak Celebration
- 02. BIFFL Orientation Program-2016
- 03. Greetings to Rezwana Choudhury Bannya on the occussaion of 5th AGM



- 04. BIFFL Team at the Ifter-2016
- 05. Training Workshop
- 06. BIFFL support staffs with officials
- 07. Signing Ceremony with CRAB & CRISL for Credit Rating
- 08. BIID Expo



VOTE OF THANKS

Dear Sir(s),

BIFFL's Management is pleased to organize the 6th Annual General Meeting (AGM), as well as to prepare the Annual Report-2016 containing the Director's Report, Audited Financial Statements, along with the Independent Auditor's Report. The Report was endorsed on 13 May 2017 in the 53rd meeting of BIFFL's Board and satisfies the requirement of the section 184 of the Companies Act, 1994 and also the Financial Institutions Act, 1993.

On behalf of the Management, I would like to thank the Honorable Chairman and Members of the Board of Directors, and the Executive Director & CEO for their immense support, guidance and bold initiative to achieve the organizational goal.

I would like to thank all the employees & staffs of BIFFL particularly in the department of HR & Administration, Finance & Accounts and Credit & Investment for their effort and sincere works to accomplish the Annual Report and also to organize the AGM.

I would like to convey our gratitude to the Finance Division of Ministry of Finance, Regulatory Bodies, Auditors, Clients, Bankers and all the stakeholders of BIFFL.

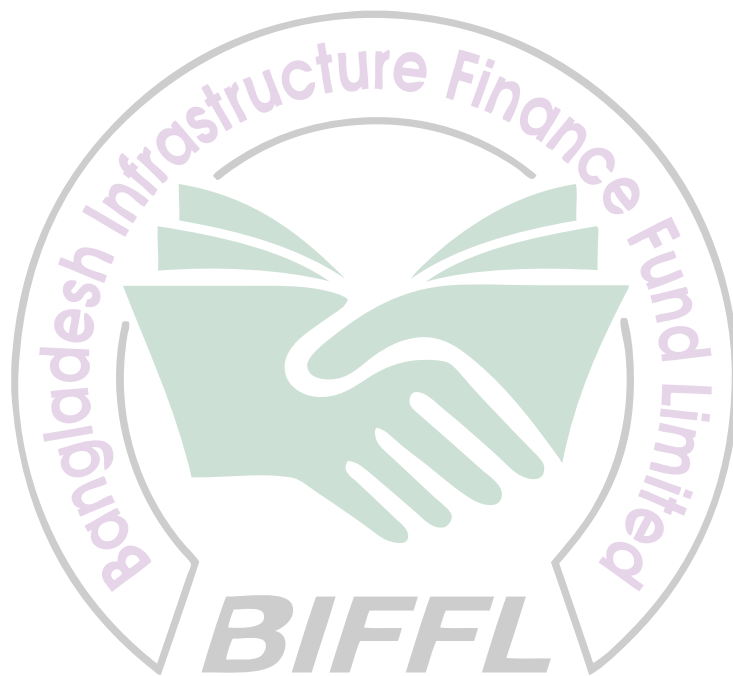
At the same time, I would like to apologize for any inadvertent mistake and inconvenience in the Annual Report and Annual General Meeting of BIFFL.

Regards.

Sincerely,



Mohammad M. Khan, ACS
Company Secretary





Bangladesh Infrastructure Finance Fund Limited

(A company Owned by the Ministry of Finance, GoB)

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